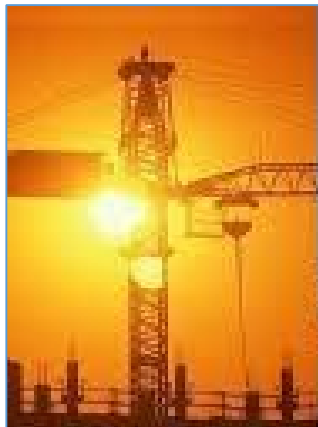


INSURANCE AND PENSIONS COMMISSION (IPEC)



SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE YEAR ENDED 31 DECEMBER 2014

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List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	—	Gross Premium Written
IBNR	—	Incurred But Not Reported
IPEC/Commission	—	Insurance and Pensions Commission
NEP	—	Net Earned Premium
NPW	—	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	—	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	—	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance and developments that took place in the non-life insurance sector during the quarter ended 31 December 2014. The number of registered players excluding insurance agents, increased from Eighty seven (87) as at 30 September 2014 to eighty nine (89) as at 31 December 2014. Non-life insurers reported total gross premium written (GPW) amounting to \$214.91 million for the year ended 31 December 2014 compared to \$207.69 million reported for the year ended 31 December 2013. Gross premium written amounting to \$90.94 million was generated through insurance brokers. On the other hand, the business written by reinsurers increased from \$99.52 million for the year ended 31 December 2013 to \$101.20 million for the year under review. Reinsurance brokers generated business worth \$63.61 million on behalf of reinsurers. Motor and fire insurance remained the dominant classes of insurance in the non-life insurance sector. Four (4) insurance companies and one reinsurer were not compliant with the regulatory minimum capital requirement of \$1.5 million as at 31 December 2014. Three (3) of the five (5) underwriters not compliant with the minimum capital requirements had been suspended from initiating and renewing new business at the time of compiling this report. The asset base for the insurance industry increased marginally from \$326.72 million as at 30 September 2014 to \$329.9 million as at 31 December 2014. The industry average prescribed assets ratio for non-life insurers was 1.31% as at 31 December 2014. None of the direct non-life insurers were compliant with the minimum prescribed assets ratio as at 31 December 2014. Non-life reinsurers, on the other hand, made significant strides towards investing in prescribed assets with the industry average prescribed assets ratio of 4.04% as at 31 December 2014, up from 1.67% as at 30 September 2014. A total of four (4) reinsurers had since complied with the prescribed assets ratio as at 31 December 2014. There were no significant changes in the risk appetite of both non-life insurers and reinsurers as evidenced by negligible changes in the industry average retention ratios. Profitability for both direct insurance and reinsurance business deteriorated during the period under review mainly owing to depressed business growth in the wake of increasing operating expenses, claims and commissions.

1. Architecture of the Non-Life Insurance Industry

The non-life insurance industry had a total of eighty nine (89) registered players (excluding agents) in different categories as at 31 December 2014, as shown in Table 1 below.

Table 1: Architecture of the Non-life Insurance Industry

Type of Institution	Number of Registered Entities		Number of Suspended/ Non-Operating Entities
	30 Sep 14	31 Dec 14	31 Dec 14
Insurance Companies	25	25	2
Reinsurance Companies	9	9	-
Insurance Brokers	31	31	4
Reinsurance Brokers	5	5	1
Loss Assessors/Investigators	17	19	-
Total	87	89	7

Of the two insurers who were suspended as at 31 December 2014, shown above, Altfin Insurance Company was subsequently deregistered on 7 January 2015. Export Credit Guarantee Corporation (ECGC) was, at the time of compiling this report, still working on modalities to enable it to resume its operations on a full scale basis, following its recapitalisation.

Of all the operational underwriters as at 31 December 2014, two insurers namely Global Insurance Company and KMFS Insurance Company and one reinsurance company namely New Reinsurance Company had, at the time of writing this report, been suspended from initiating or renewing insurance business, while Excellence was under close monitoring.

On the other hand, two (2) of the four (4) non-operating insurance brokers as at 31 December 2014 namely Revival Insurance Brokers and Excel Risk Solutions were yet to get authorization from the Commission to commence operations since they were yet to address irregularities noted during pre-opening inspections. Navistar Insurance Brokers remained under suspension and is currently under voluntary judicial management. Cover link Insurance Brokers, had commenced operations as at the time of compiling this report.

The only reinsurance broker that was not operational as at 31 December 2014 namely Classic Reinsurance Brokers had also commenced operations by the time of compiling this report.

SECTION A

2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

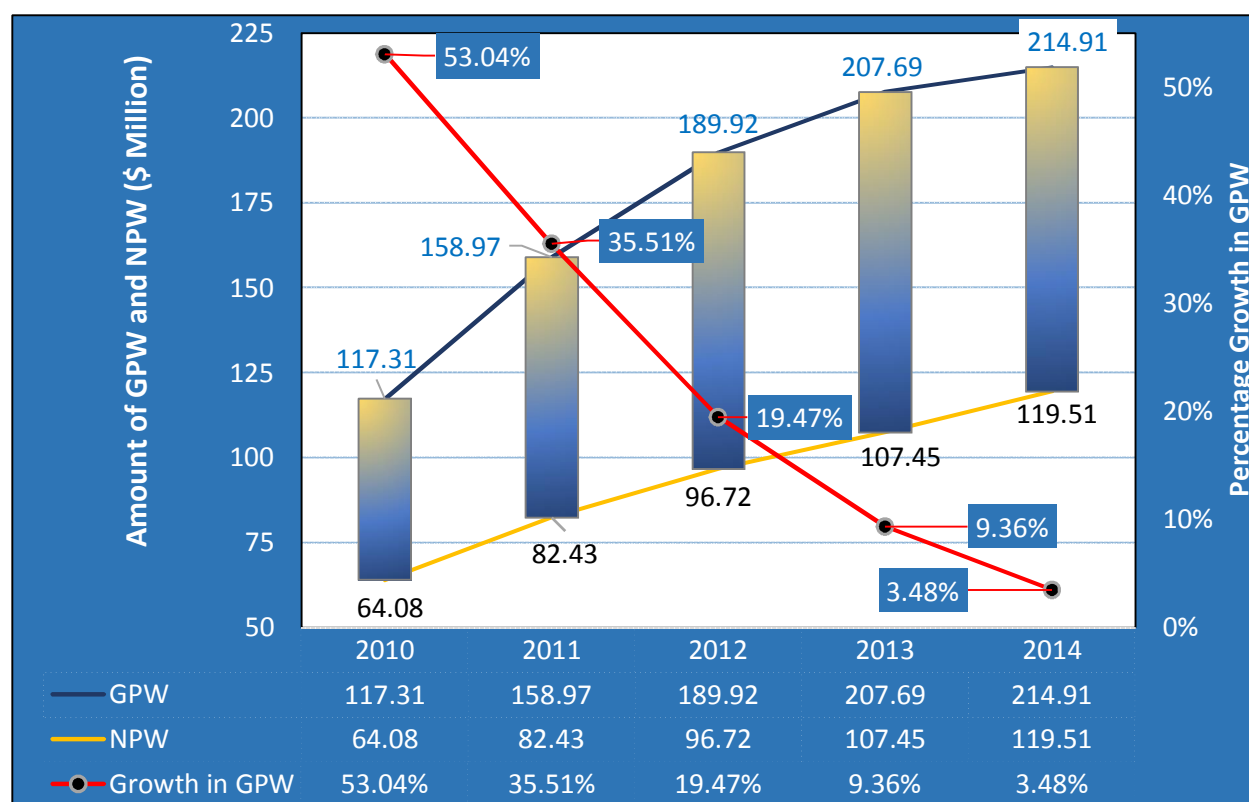


Please note that the figures for Altfin Insurance Company contained in this report are as at 30 September 2014 and have been incorporated for the sake of completeness since the insurer was deregistered on 7 January 2015. Appendix 1A-C has detailed statistics for the non-life insurers.

2.1. Performance in Terms of Business Written

The non-life insurance industry witnessed depressed growth of 3.48% in Gross Premium Written (GPW) from \$207.69 million for the year ended 31 December 2013 to \$214.91 million for the year ended 31 December 2014. The depressed growth in the volume of business is in tandem with the slowdown in the growth in Gross Domestic Product (GDP) at market prices from 8.86% for the year ended 31 December 2013 to 3.9% for the year under review. This is explained by the fact that, generally the insurance sector follows the fortunes of the economy. Figure 1 below shows the trend in the volume of business since 2010.

Figure 1: Trend in Business Written Since 2010



The highest growth rates in business of 21.57% and 14.87% were generated from marine and engineering insurance respectively. Table 2 below shows changes in the volume of business generated from all business classes in terms of GPW.

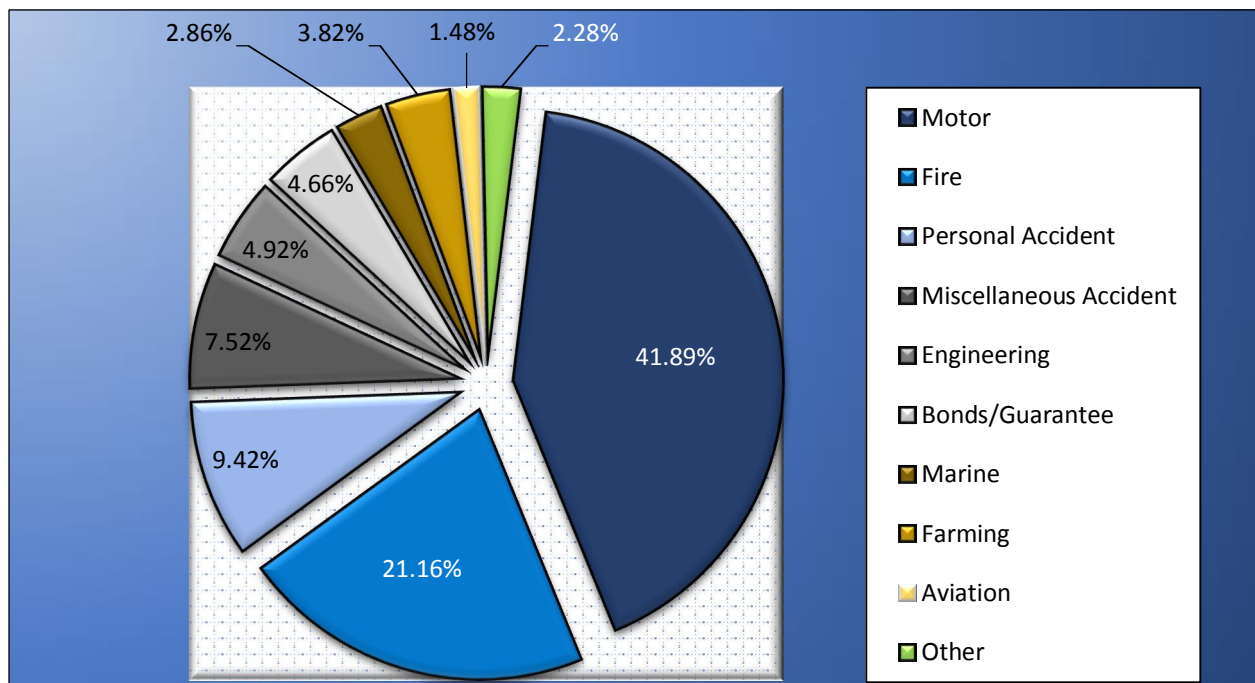
The distribution of business generated across different classes of insurance remained largely unchanged with motor and fire insurance remaining the dominant classes of business. The two classes of business accounted for a total of 63.05% of total gross premium written. Figure 2 below shows the distribution of business generated for the year ended 31 December 2014.

Table 2: Non-life Insurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	30 Dec 2013	31 Dec 2014	
Aviation	4,481,638	3,175,831	-29.14%
Bonds/Guarantee	10,036,394	10,013,419	-0.23%
Engineering	9,202,212	10,570,849	14.87%
Farming	3,392,033	3,305,430	-2.55%
Fire	43,914,637	45,479,567	3.56%
Hail	5,668,374	4,905,861	-13.45%
Health	1,239,831	406,771	-67.19%
Hire Purchase	3,391,249	1,560,036	-54.00%
Marine	5,054,923	6,145,269	21.57%
Miscellaneous Accident	14,491,193	16,159,955	11.52%
Motor	86,622,412	90,021,619	3.92%
Personal Accident	19,207,446	20,241,739	5.38%
Personal Liability	3,134,913	2,928,522	-6.58%
Total	209,837,257	214,914,868	2.42%

(Note that figures for 2013 in Table 2 are unaudited, hence the different Total GPW from that in Figure 1 above).

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



2.2. Insurance Penetration and Density

The contribution of the non-life insurance industry to the country's GDP remained largely unchanged as evidenced by the marginal decrease in the penetration ratio from 1.54% for the year ended 31 December 2013 to 1.53% for the year ended 31 December 2014.

On the other hand, the average per capita spending on non-life insurance (non-life insurance density) decreased from \$14.46 for the year ended 31 December 2013 to \$13.60 for the year ended 31 December 2014. Table 3 below shows the statistics relating to non-life insurance penetration and density since 2012.

Table 3: Non-life Insurance Penetration Ratio and Insurance Density

	2012	2013	2014
Gross Premium Written	\$189,919,000	\$207,690,265	\$214,914,868
GDP at Market Prices*	\$12,392,715,462	\$13,490,227,136	\$14,016,000,000 (Projected)
Population*	13,061,269	14,367,396	15,804,135
Penetration Ratio	1.53%	1.54%	1.53%
Insurance Density	\$14.54	\$14.46	\$13.60

**Source: Zimstat. The population figure of 13,061,269 from the 2012 population census conducted by Zimstat was adjusted by 1.1 average annual inter-censal population growth rate to calculate the population for 2013 and 2014.*

2.3. Capitalization

All registered insurers, except four (4), reported capital positions which were compliant with the regulatory minimum capital of \$1.5 million as at 31 December 2014. As already alluded to above, two (2) of the said insurers had been suspended from initiating and renewing business as at the time of compilation of this report. The capital positions reported by all the non-life, without taking account of the provisions of Circular 1 of 2014, are shown in Table 4 below.

All the non-life insurers reported solvency margins which were compliant with the prudential minimum of 25% stipulated in section 24 of the Insurance Act. The industry average solvency margin was 63.59%. Insurers are required to maintain capital which is compliant with the minimum capital requirement of \$1.5 million or 25% of net premium written in the preceding 12 months, whichever is greater. We reiterate that all insurers conduct self-assessment in terms of Circular 1 of 2014 and proactively regularize their capital positions where necessary.

Table 4: Reported Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position (\$)			
	31-Dec-13	30-Jun-14	30-Sep-14	31-Dec-14
1. Alliance Insurance Company	4,009,722	4,594,720	4,499,490	4,633,552
2. Allied Insurance Company	741,791	972,643	1,564,454	1,723,714
3. C.B.Z Insurance Company	1,612,651	1,672,681	1,813,952	2,127,252
4. Cell Insurance Company	2,311,187	2,427,865	2,422,370	2,333,899
5. Champions Insurance Company	1,396,315	1,938,703	1,969,114	2,146,842
6. Clarion Insurance Company	1,175,794	1,606,510	1,573,050	1,273,200
7. Credit Insurance Zimbabwe	3,060,021	2,724,332	2,477,977	2,597,184
8. Eagle Insurance Company	3,556,696	3,508,390	4,124,888	4,815,789
9. Evolution Insurance Company	1,411,499	2,261,583	2,320,500	1,526,127
10. Excellence Insurance Company	319,729	437,060	749,625	663,389
11. Global Insurance Company	894,904	895,078	662,505	802,540
12. Hamilton Insurance Company	639,578	1,883,386	2,051,314	2,152,955
13. Heritage Insurance Company	1,166,281	3,581,713	3,592,294	3,198,113
14. KMFS Insurance Company	159,988	1,093,565	460,028	423,217
15. Nicoz Diamond Insurance Company	9,727,621	10,246,000	10,422,000	10,823,000
16. Old Mutual Insurance Company	11,596,571	13,557,075	13,896,371	14,433,261
17. Quality Insurance Company	1,376,118	1,426,000	1,513,000	1,500,000
18. Regal Insurance Company	2,580,907	2,711,283	2,716,304	2,857,897
19. Safel Insurance Company	1,405,056	1,351,012	1,335,430	1,667,056
20. Sanctuary Insurance Company	615,295	1,395,468	1,301,036	1,535,798
21. THI Insurance (Pvt) Ltd	3,961,574	3,291,590	3,589,398	4,832,078
22. Tristar Insurance Company	922,615	1,533,333	1,701,718	1,563,156
23. Zimnat Lion Insurance Company	2,627,224	4,155,987	4,575,936	4,810,566

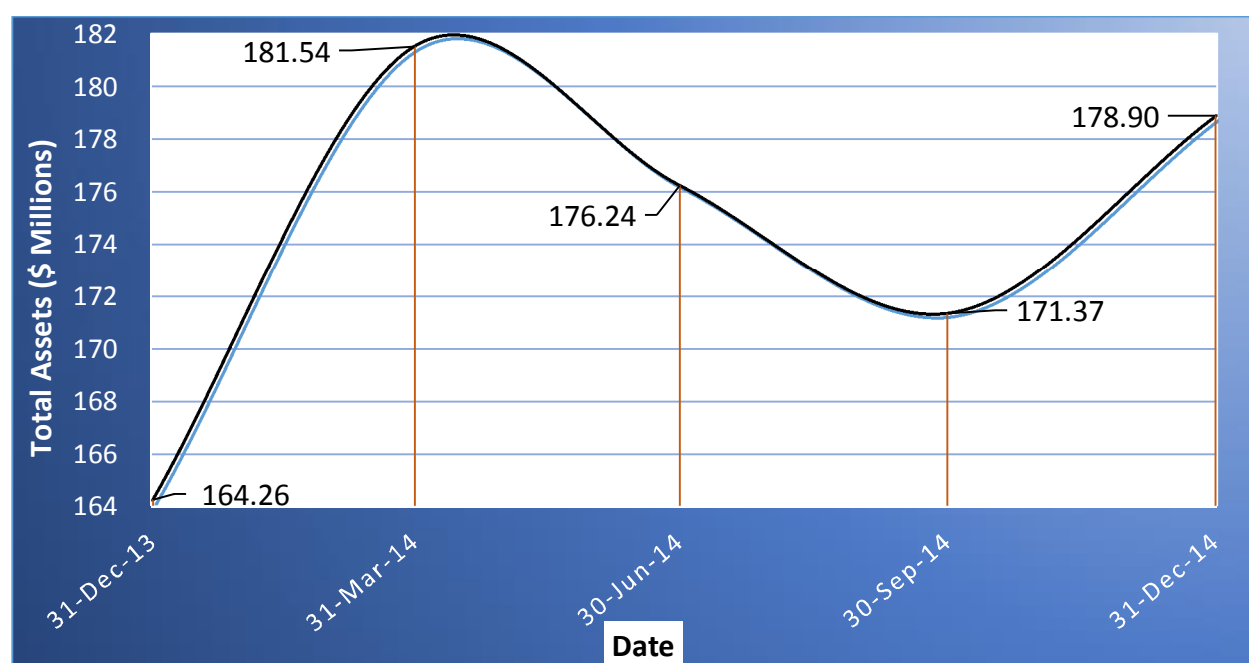
Key:

	The insurer reported a capital position that was compliant with the minimum capital requirement of \$1.5 million which became effective on 30 June 2014.
	The insurer reported a capital position which was not compliant with the minimum capital requirement of \$1.5 million.

2.4. Asset Quality

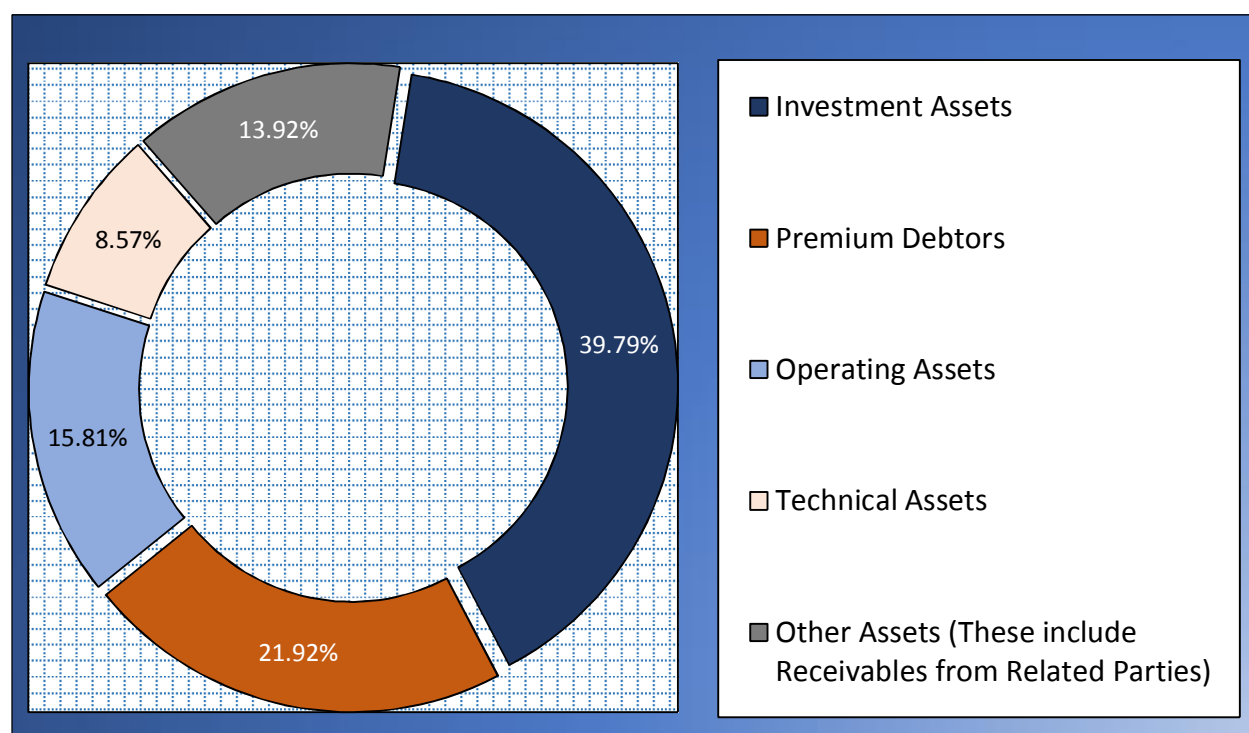
Total assets for direct non-life insurers increased by 4.39% from \$171.37 million as at 30 September 2014 to \$178.90 million as at 31 December 2014 as shown in Figure 3 below. The increase in total assets during the quarter under review was mainly attributable to an upsurge in premium debtors and money market investments. The growth was from \$33.57 million and \$30.87 million as at 30 September 2014 to \$39.21 million and \$34.60 million respectively as at 31 December 2014. The increase in the total assets is in line with the pattern that has been observed over the years where total assets generally increase between 30 September and 31 March annually.

Figure 3: Trend in Total Assets



The distribution of assets remained largely unchanged with investment assets and premium debtors contributing a total of 61.71% of total assets as at 31 December 2014. However, it is of concern that the proportion of assets attributable to investments was only 39.79%, as shown in Figure 4 below, which proportion was considered low relative to that of non-life reinsurers. A significant proportion of the said investments, i.e. 21.71%, was in long term investments such as properties and unquoted equities. The bulk of the long term investments were considered inappropriate to match the non-life insurers' liabilities, which are usually short term. Figure 4 below shows the breakdown of total assets as at 31 December 2014.

Figure 4: Breakdown of Short-Term Insurers' Total Assets



NB: Operating Assets are those assets acquired for insurers' own use in the conduct of ongoing operations. Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.

Non-life insurers remained non-compliant with prescribed asset ratio with an industry average ratio of 1.31% as at 31 December 2014, a figure significantly below the prudential minimum of 5%. Only twelve (12) of the operating insurers had investments in prescribed assets as at 31 December 2014.

2.5. Reinsurance

The risk appetite of the non-life insurance industry increased with the average retention ratio increasing from 52.56% for the year ended 31 December 2013 to 55.61% for the year ended 31 December 2014. The retention ratios for individual insurers ranged from 16.22% to 98.53% as shown in Figure 5 below.

The highest risk appetite was recorded in motor and hire purchase insurance which reported retention ratios of 78.96% and 65.99% respectively during the year under review. Aviation continued to record the lowest retention ratios due to inadequate capacity in the local market. Figure 6 below shows the retention ratios by classes of business. Other indicators in respect of reinsurance are shown in Appendix 1C.

Figure 5: Retention Ratios for Short Term Insurance Companies

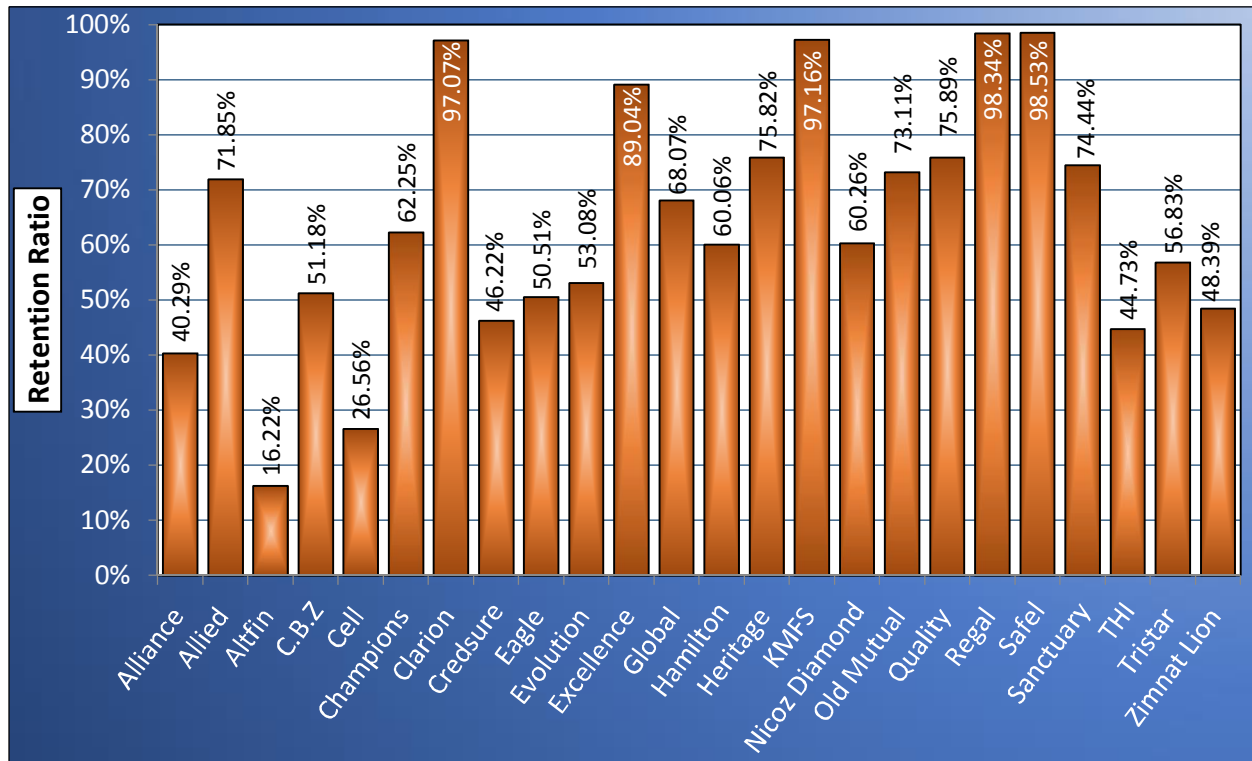
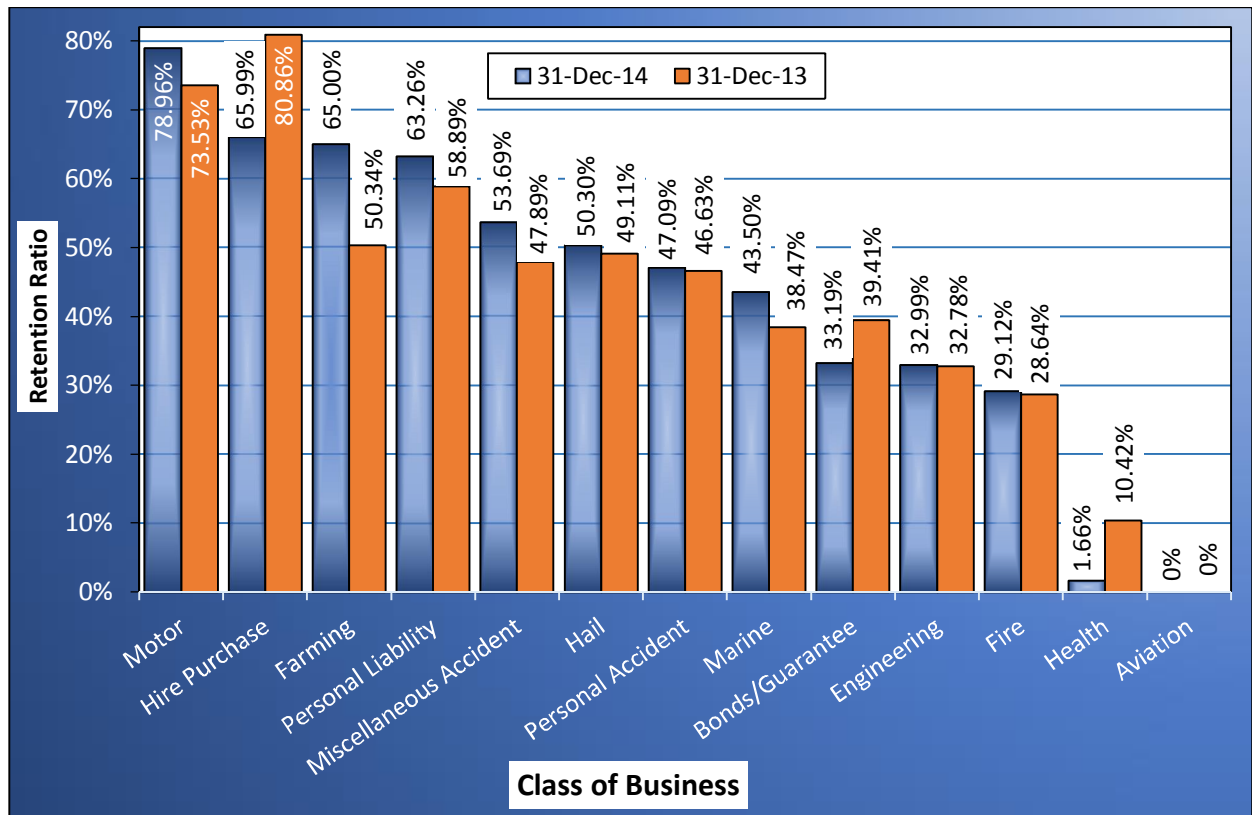


Figure 6: Non-life Insurers' Average Retention Ratios for Different Classes of Business



2.6. Actuarial Matters

Total technical liabilities for non-life insurers increased by 11.80% from \$46.43 million as at 30 September 2014 to \$51.91 million as at 31 December 2014. Unearned premium reserves (UPR) amounted to \$27.41 million. On the other hand, incurred but not reported claims as well as net outstanding claims amounted to \$11.54 and \$12.97 million respectively. The overall increase in technical liabilities was mainly attributable to an upsurge in net outstanding claims from \$9.64 million as at 30 September 2014 to \$12.97 million as at 31 December 2014.

The non-life insurance industry as a whole was considered to be having adequate investments to back all its technical liabilities (reserves). This is evidenced by the industry average total reserves to investments assets ratio of 72.92% reported as at 31 December 2014. The said ratio for individual insurers ranged from 32.59% to 559.65% as at 31 December 2014. Although the total investment assets were adequate to cover total technical liabilities, the ratio of total reserves to total investment assets deteriorated from 65.99% as at 30 September 2014. In addition, the profile of assets may not be readily available to liquidate technical liabilities if the need arises given that a significant proportion of the said investments were tied up in illiquid assets such as properties and unquoted equities.

A total of ten (10) non-life insurers reported total technical liabilities to investment assets ratios which were above 100% (See Appendix 1C). This implies that the said insurers are holding inadequate assets to cover their technical liabilities.

A total of seven (7) of the ten non-life insurers mentioned above, reported investment assets which were not adequate to cover both reported and yet to be reported outstanding claims. This is evidenced by the ratios of total outstanding claims and IBNR to total investment assets which were above 100%.

To ensure the improvement of the accuracy of the reserves reported by insurers, among other things, the Commission has since requested all non-life insurers, through Circular 1 and 8 of 2014 as well as Circular 1 of 2015, to have their reserves actuarially determined and submit reports on the same to the Commission by no later than 30 April 2015.

2.7. Earnings

The volumes of profit recorded by non-life insurers decreased by 14.74% from \$12.02 million for the year ended 31 December 2013 to \$10.25 million for the year ended 31 December 2014. The decrease in the volume of profit was mainly attributable to an upsurge in operating expenses coupled with an increase in net incurred commission. Operating expenses increased by 10.40% from \$47.99 million for the year ended 31 December 2013 to \$52.99 million for the year under review. On the other hand, net incurred commission amounted to \$8.12 million for the year ended 31 December 2014, reflecting a whopping 67.74% increase from \$4.84 million reported for the year ended 31 December 2013.

The decline in total profit after tax recorded by direct non-life insurers resulted in the return on equity (ROE) and return on assets (ROA) deteriorating from 18.52% and 7.32% for the year ended 31 December 2013 to 13.16% and 5.73% for the year ended 31 December 2014 respectively. Notwithstanding the decrease in the ROE and ROA, the returns generated by the non-life insurers were still considered relatively attractive given the returns offered by other investment vehicles within Zimbabwe and abroad.

A total of eight (8) insurers reported losses ranging from \$8,000 to \$394,593 for the year under review as shown in Appendix 1A and 1C. The number of insurers who reported losses compares unfavorably with a total of five (5) reported for the year ended 31 December 2013. This could be explained by a more difficult macro-economic environment faced by insurers in 2014 compared to 2013.

Whilst the overall profitability of the non-life insurance industry deteriorated during the year under review, the profitability of the core business of the insurers i.e. underwriting improved. This is evidenced by the increase in underwriting profits from \$7.05 million for the year ended 31 December 2013 to \$8.39 million for the year under review. The increase in underwriting translated into an improvement in the combined ratio from 93.32% for the year ended 31 December 2013 to 92.85% for the year under review. The improvement in the profitability of the core business was mainly attributable to a decrease in the loss ratio from 43.25% to 40.74%. Gross claims amounting to a total of \$83.04 million were paid during the year under review.

Motor insurance recorded the highest loss plus commission ratio of 82.15% which constrained the profitability of the same business class as shown in Table 5 below. High loss ratios in motor insurance may be attributable to the high frequency of claims in motor insurance though the same claims are usually of low severity. Amongst all the business classes, hail Insurance recorded the highest loss ratio of 71.61%.

On the other hand, fire insurance was the most profitable line of business since it recorded the lowest loss plus commission ratio of 27.20%. While fire insurance was the most profitable class of business, insurers should be mindful of the fact that claims under fire insurance are less frequent yet their severity is relatively high compared to motor insurance.

Table 5: Loss Ratios by Class of Business for Short Term Insurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Motor	49.51%	32.64%	82.15%
Miscellaneous Accident	37.60%	14.71%	52.31%
Hire Purchase	24.36%	23.86%	48.22%
Hail	71.61%	-29.25%	42.36%
Marine	31.78%	7.37%	39.15%
Personal Accident	28.71%	8.82%	37.53%
Engineering	34.49%	-1.75%	32.74%
Bonds/Guarantees	28.68%	0.95%	29.63%
Fire	27.70%	-0.50%	27.20%
Other	36.56%	6.46%	43.02%
Industry Average	40.74%	6.93%	47.67%

The capacity of the insurer's assets to supplement underwriting income was considered low given that investment income accounted for only 3.50% of net premium written (NPW). This could be attributable to low levels of investment assets as well as poor investment returns.

2.8. Liquidity

Total cash and near cash assets for non-life insurers continued on an upward trend increasing by 6.57% from \$45.63 million as at 30 September 2014 to \$48.62 million as at 31 December 2014. The increase was mainly attributable to an upsurge in money market investments from \$30.87 million as at 30 September 2014 to \$34.60 million as at 31 December 2014. The liquid assets were however concentrated in a few insurers with Old Mutual Insurance Company accounting for 31.55% of total cash and near cash assets. A total of twenty insurers with the least market shares in terms of total liquid assets accounted for only 36.65% of total cash and near cash assets (See Appendix 1C).

Despite the increase in liquid assets, there were no significant improvements in the overall liquidity of the non-life insurance industry as evidenced by the acid test ratio rising marginally from 52.28% as at 30 September 2014 to 54.60% as at 31 December 2014.

The acid test ratio reported as at 31 December 2014 implies that the market had roughly fifty five cents which were readily liquid to back every dollar of current liabilities. This shows that there is a high risk of failure by the market to timeously settle its liabilities. Individual insurers reported acid test ratios ranging from 0.03% to 202.20% as at 31 December 2014 (see Appendix 1C for more information).

2.9. Market Share for Non-life Insurers

The short term insurance sector was considered unconcentrated with Herfindahl Indices of 0.09 in terms of both GPW and NPW for the year ended 31 December 2014. An unconcentrated market may be good for policyholders since there will be no monopoly insurer that may abuse its status by exploiting policyholders through overcharging.

As shown in Figure 7 below, Old Mutual Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company were the market leaders in terms GPW and NPW for the year ended 31 December 2014 with a combined market share of 41.22% and 42.90% respectively. The same insurers were the market leaders in terms of total assets as at 31 December 2014 as shown in Figure 8 below.

Figure 7: Market Share for Insurers in Terms of GPW and NPW

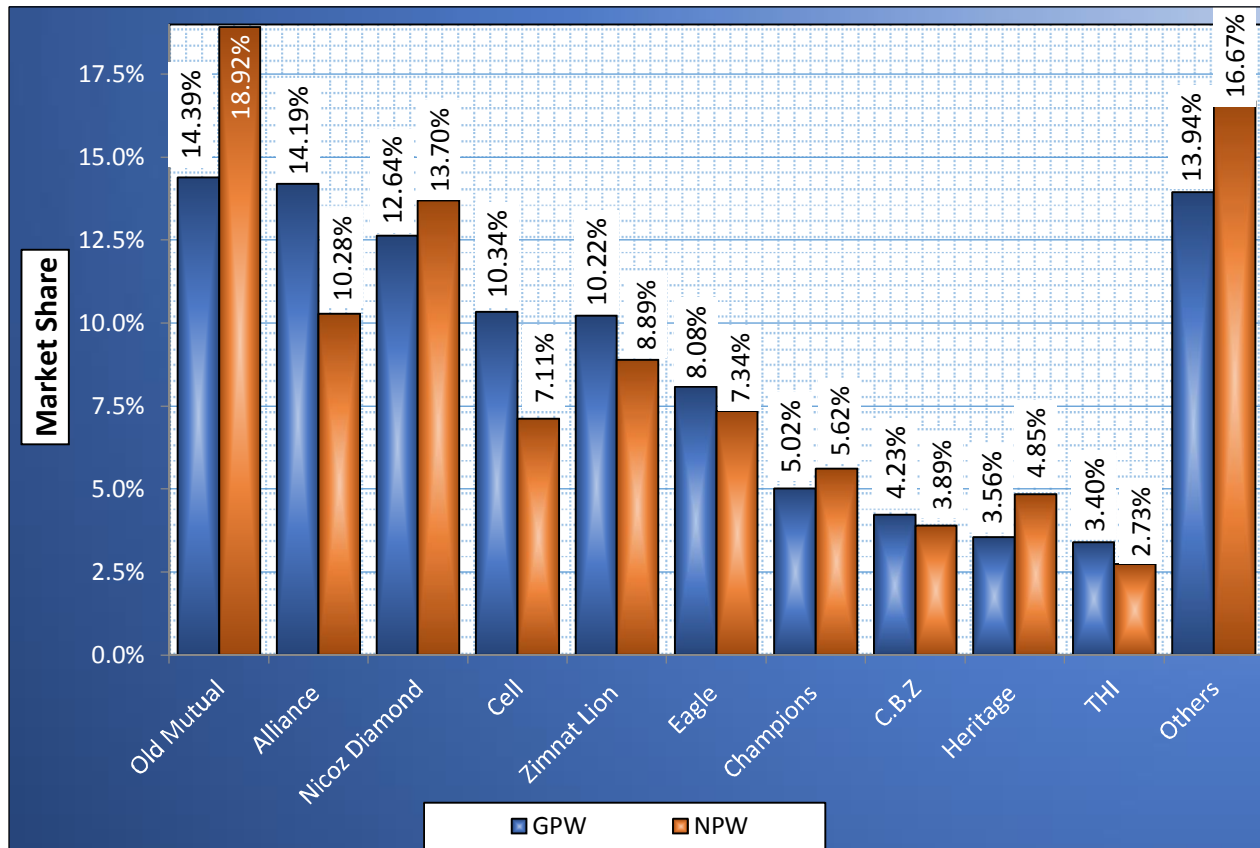
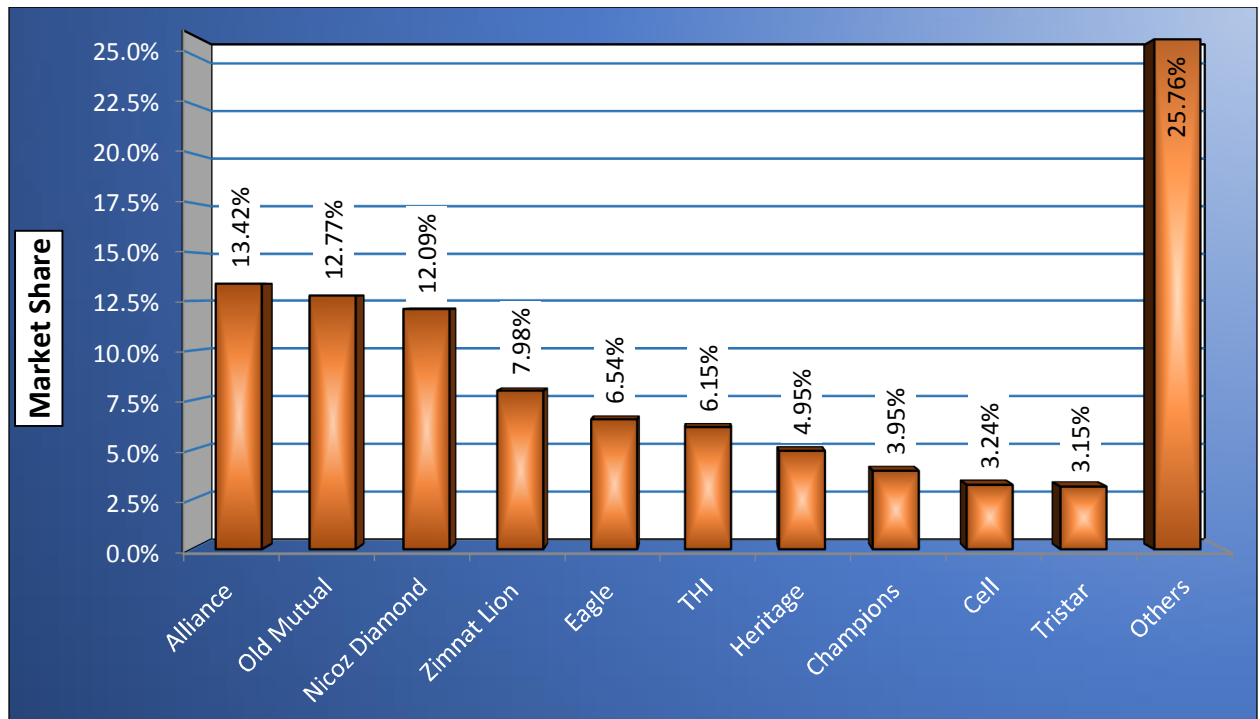


Figure 8: Market Share for Insurers in Terms of Total Assets



SECTION B

3. REINSURANCE COMPANIES



Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole. The country office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa among others. PTA Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member states. The Country Office is supported by the balance sheet of Zep-Re as a whole company. The figures for the country office are used in this report. Detailed statistics for all reinsurers are shown in Appendix 2A-C.

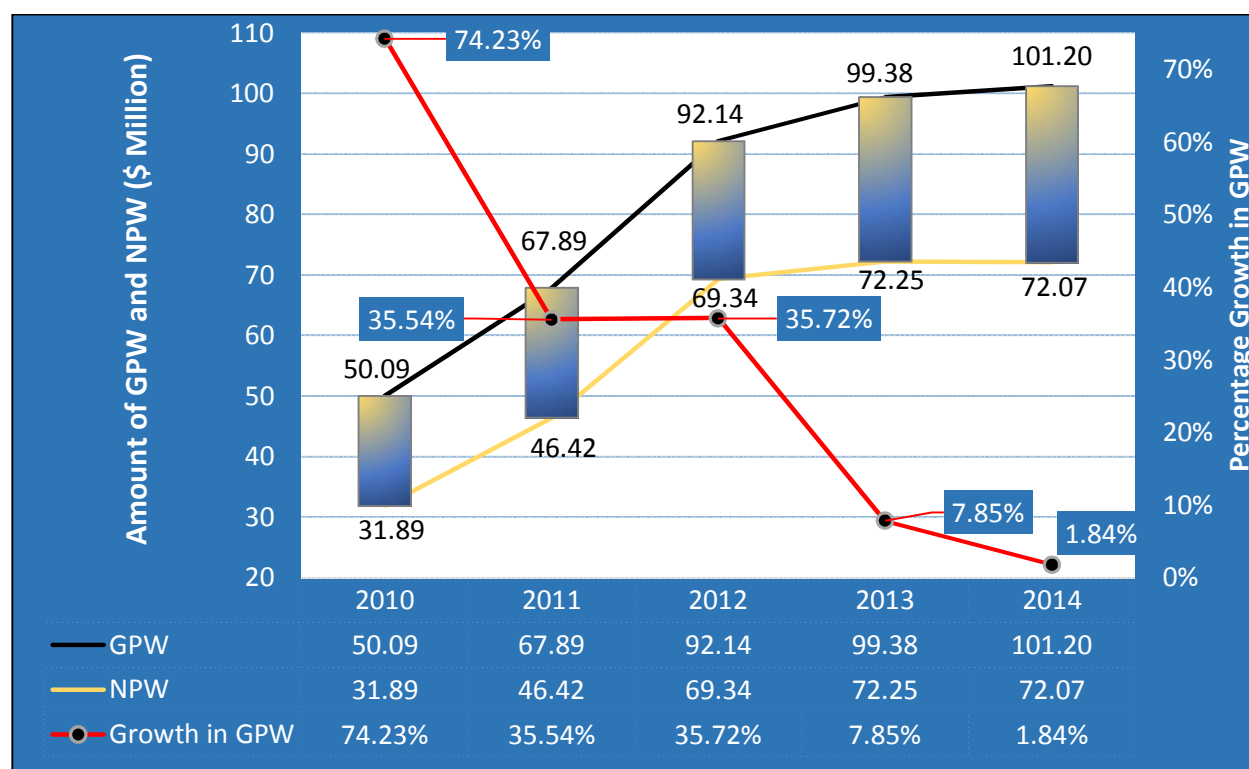
3.1. Performance in Terms of Business Written

Relative to other years since the inception of the multicurrency regime, there were no significant changes in the volume of business written by the non-life reinsurers for the year ended 31 December 2014. This is evidenced by the marginal increase in total gross premium written from \$99.38 million for the year ended 31 December 2013 to \$101.20 million for the year ended 31 December 2014 as shown in Figure 9 below.

A total of \$15.66 million, which accounted for 15.48% of total GPW for the year under review, was in respect of business written outside Zimbabwe. This indicates an increase from the business written outside Zimbabwe for the year ended 31 December 2013 which amounted to \$8.22 million and accounted for 8.26% of total GPW. In light of the foregoing analysis, the growth in the volume of business was attributable to business sourced from outside Zimbabwe.

Non-life reinsurers generated \$85.54 million from local insurers during the year under review compared to reinsurance premiums of \$95.29 million reported by direct insurers. This implies that a total of \$9.75 million could have been placed with reinsurers outside Zimbabwe or the risks in respect of the same premium could have been shared with other insurers.

Figure 9: Trend in Business Written Since 2010



In spite of the increase in gross premium written, there was a marginal decrease in the volume of business retained by non-life reinsurers from \$72.25 million for the year ended 31 December 2013 to \$72.07 million for the year under review.

As shown in Table 6 below, the fastest growing classes of insurance in terms of volumes of business generated by reinsurers were hail and health insurance. However, the contribution of these two business classes to total GPW for the year under review is negligible. On the other hand, aviation and engineering, recorded the largest shrinkages in gross premium written.

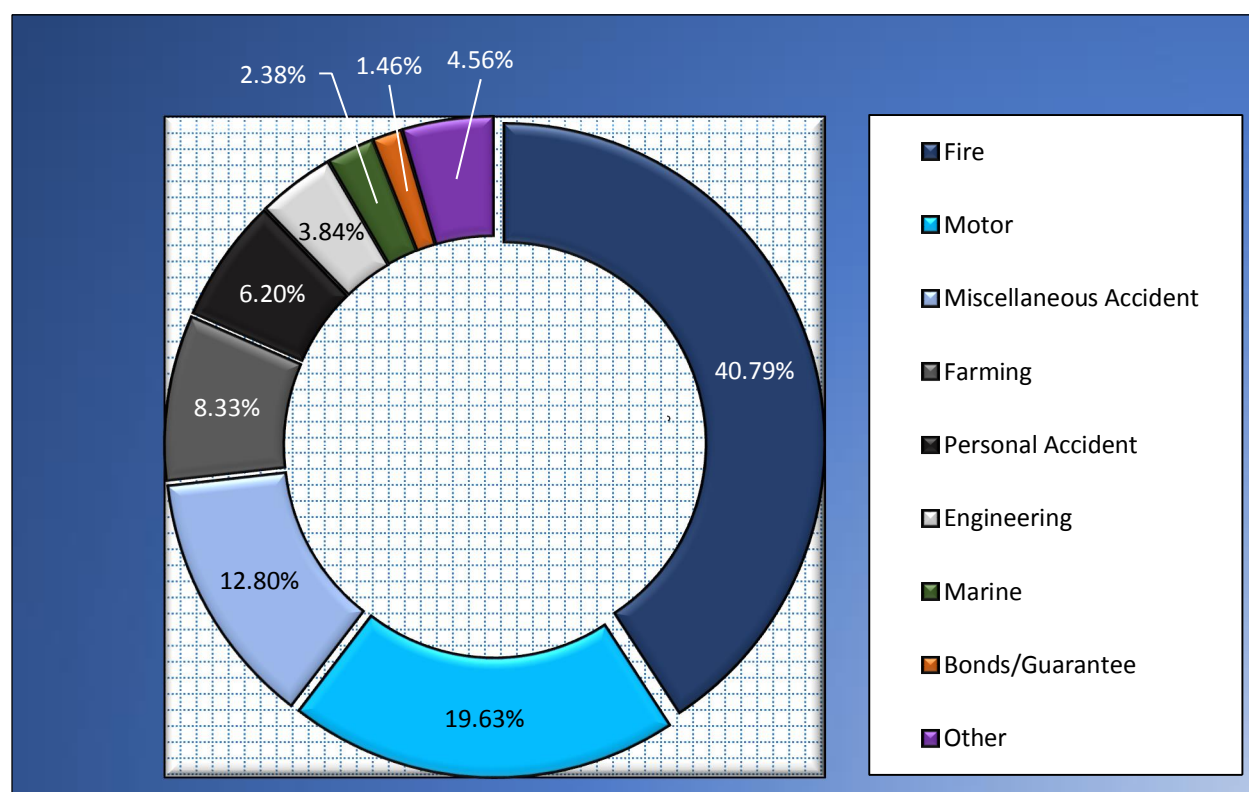
Table 6: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written (\$)		Percentage Change
	31 December 2013	31 December 2014	
Aviation	2,280,452	1,006,062	-55.88%
Bonds/Guarantee	1,405,643	1,472,644	4.77%
Engineering	5,985,886	3,890,119	-35.01%
Farming	8,013,166	8,432,057	5.23%
Fire	40,227,199	41,285,503	2.63%
Hail	34,180	1,677,460	4,807.72%
Health	209,122	897,566	329.21%
Hire Purchase	53,452	85,540	60.03%
Marine	1,709,294	2,412,597	41.15%
Miscellaneous Accident	11,947,669	12,957,591	8.45%
Motor	22,050,572	19,865,526	-9.91%
Personal Accident	5,004,140	6,276,564	25.43%
Personal Liability	599,937	944,329	57.43%
Total	99,520,712	101,203,558	1.69%

(Please note that figures for 2013 in Table 6 are unaudited, hence the different total GPW from that in Figure 9)

There were no significant changes in the distribution of business generated by non-life reinsurers with fire and motor insurance remaining the dominant classes of business. The two classes of business accounted for a total of 60.42% of total GPW for the year under review as shown in Figure 10 below. The distribution of business generated by reinsurers compared to that generated by direct insurers indicates that the latter tends to use more reinsurance under fire than motor insurance owing to the relatively higher sums insured under fire insurance.

Figure 10: Distribution of Reinsurers' GPW by Business Class



3.2. Capitalization

With the exception of New Reinsurance Company of Harare (Private) Limited, all reinsurance companies reported capital positions which were above \$1.5 million as at 31 December 2014. New Reinsurance Company has since been suspended from initiating and renewing business as at the time of compiling this report. Table 7 below shows the capital position for all non-life reinsurers as at 31 December 2014.

All reinsurers should ensure that they comply with the minimum capital requirements after taking cognizance of the provisions of Circular 1 of 2014 and Circular 1 of 2015. The two Circulars provide guidance on permissible assets for the purposes of calculating capital, among other things.

All short term reinsurers reported solvency margins which were compliant with the prudential minimum of 25%. The industry average solvency margin for non-life reinsurers as at 31 December 2014 was 92.82% compared to 93.60% reported as at 30 September 2014. Other indicators of soundness in terms of capital adequacy are shown in Appendix 2C.

Table 7: Capital Positions for Non-life Reinsurers

Name of Company	Reported Capital Position (\$)			
	31 Dec 2013	30 Jun 2014	30 Sep 2014	31 Dec 2014
Baobab Reinsurance Company	30,804,610	27,349,700	26,583,006	24,897,441
Colonnade Reinsurance Company	1,252,709	1,883,334	1,769,840	1,808,362
FBC Reinsurance Company	8,743,520	8,995,865	9,615,337	10,361,388
FMRE Property & Casualty	5,953,062	5,681,998	5,923,050	6,534,539
Grand Reinsurance Company	9,614,640	9,763,093	9,703,023	9,796,203
New Reinsurance Company	405,157	526,000	617,000	405,000
Tropical Reinsurance Company	2,470,228	2,916,200	3,122,590	3,469,328
ZB Reinsurance Company	6,966,423	7,814,990	8,147,760	8,390,230
PTA Reinsurance Company (Zep Re)	626,075	1,337,454	2,403,046	1,233,794

Key:

	The reinsurer reported a capital position that was compliant with the minimum capital requirement of \$1.5 million which became effective on 30 June 2014.
	The insurer reported a capital position which was not compliant with the minimum capital requirement.

3.3. Asset Quality

As shown in Figure 11 below, the total assets for non-life insurers continued on a downward trend since 30 June 2014. Non-life reinsurers reported total assets amounting to \$118.19 million as at 31 December 2014, reflecting a 3.66% decrease from \$122.69 million reported as at 30 September 2014. The decrease in total assets was mainly attributable to shrinkages in both money market and long term investments as well as retrocessionaires' share of outstanding claims which amounted to \$4.66 million and \$4.46 million respectively.

Despite the shrinkage in money market and long term investments, the asset base for reinsurers remained skewed towards investment assets, which amounted to \$79.14 million and accounted for 66.95% of total assets as at 31 December 2014. Figure 12 below shows the breakdown of reinsurers' total assets. A total of \$37.67 million worth of investments which accounted for 49.41% of the investment assets were however in the form of unquoted equities as well as properties, which investments are considered inappropriate to match the liabilities of non-life reinsurers given their short term nature.

Figure 11: Trend in Total Assets

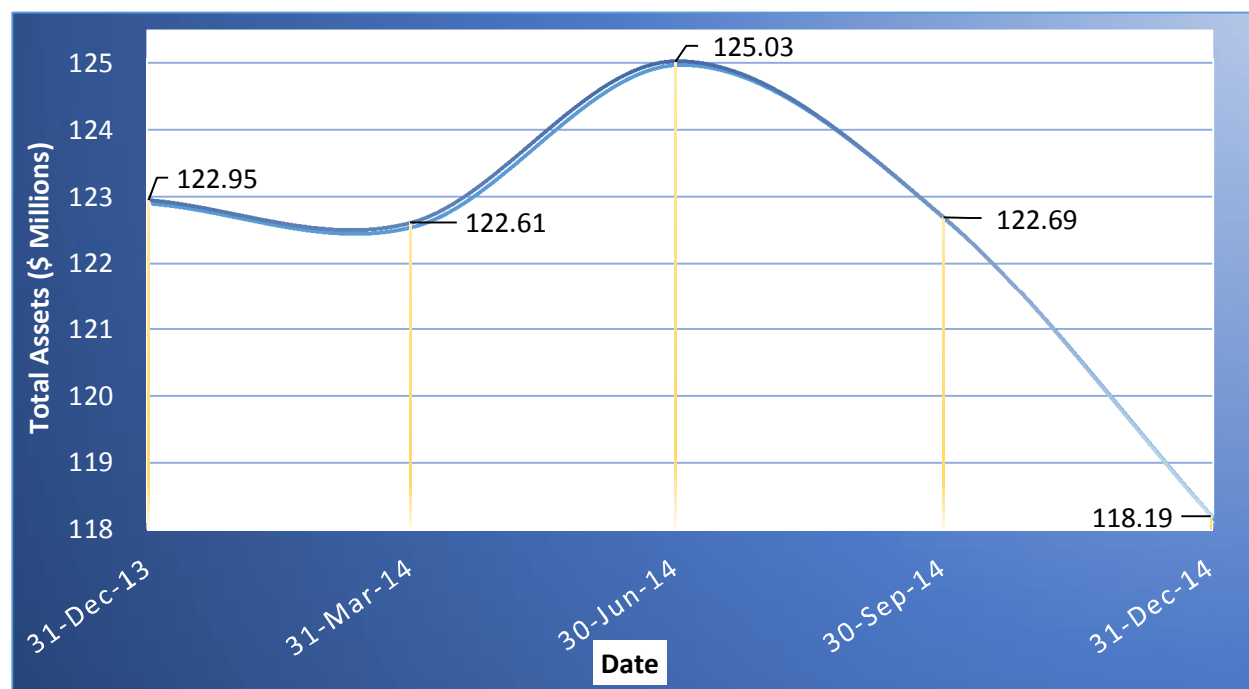
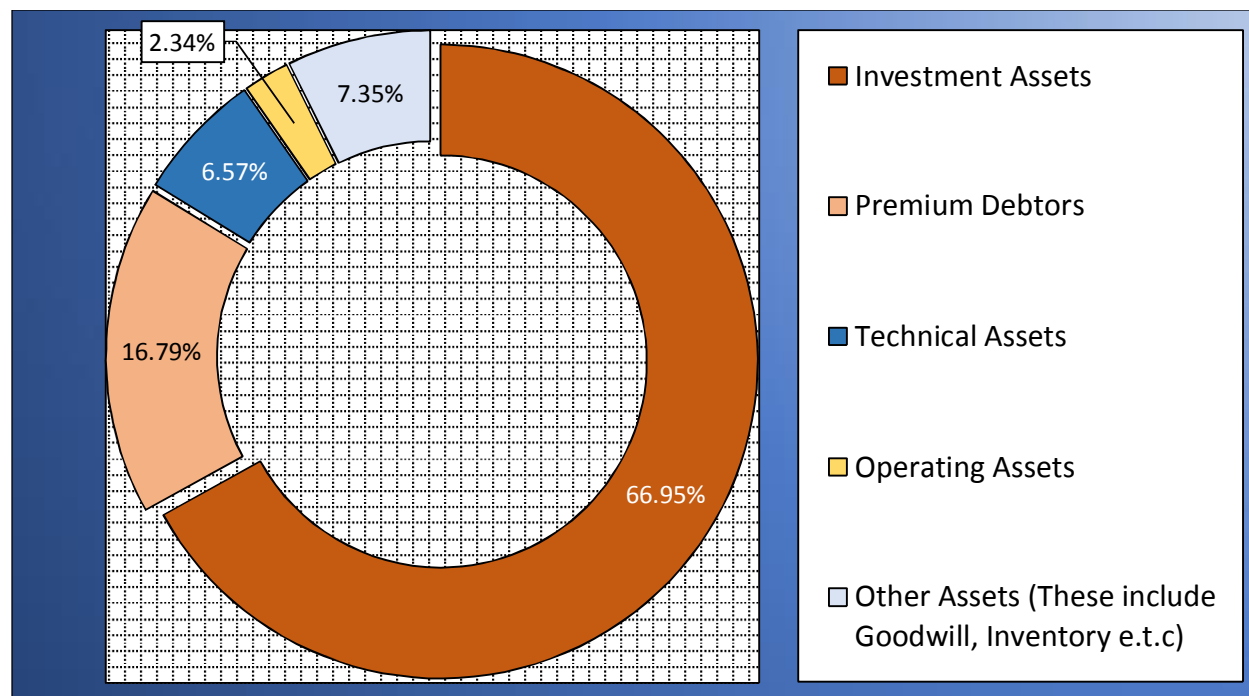


Figure 12: Breakdown of Non-life Reinsurers' Total Assets



Premium debtors accounted for 16.79% of total assets as shown in Figure 12 below. The proportion attributable to premium debtors for individual reinsurers ranged from 5.47% to 55.74% (See Appendix 2C).

The said premium debtors represented relatively higher proportions of gross premium written ranging from 26.84% to 79.84% for individual reinsurers. This implies that while the reinsurers may be on risk, they will be losing out on potential investment income and even use of cash from premiums to support day to day operations.

The Commission noted, with comfort, strides made by a number of reinsurers towards compliance with the minimum prescribed assets ratio of 5%. As at 31 December 2014, the industry average prescribed assets ratio for reinsurers was 4.04% reflecting a significant improvement from 1.67% reported as at 30 September 2014.

As shown in Appendix 2C, a total of four (4) non-life reinsurers were compliant with the prescribed assets ratio of 5% as at 31 December 2014, compared to only one reinsurer as at 30 September 2014. The number of reinsurers without any investments in prescribed assets decreased from four (4) as at 30 September 2014 to only two (2) as at 31 December 2014 (See Appendix 2C for more information).

3.4. Retrocession

There were no significant changes in the risk appetite for non-life reinsurers as evidenced by the marginal decrease in the retention ratio from 72.85% for the year ended 31 December 2013 to 71.21% for the year ended 31 December 2014. The retention ratios for individual reinsurers ranged from 56.58% to 93.39%. Figure 13 below shows the retention ratio for all the non-life reinsurers.

In terms of retention by class of business, hire purchase and hail insurance recorded the highest retention ratios as shown in Figure 14 below. Notable changes in risk appetite were witnessed in hail, bonds/guarantees and health insurance. These business classes, however account for negligible volumes of business.

Figure 13: Retention Ratios for Reinsurers

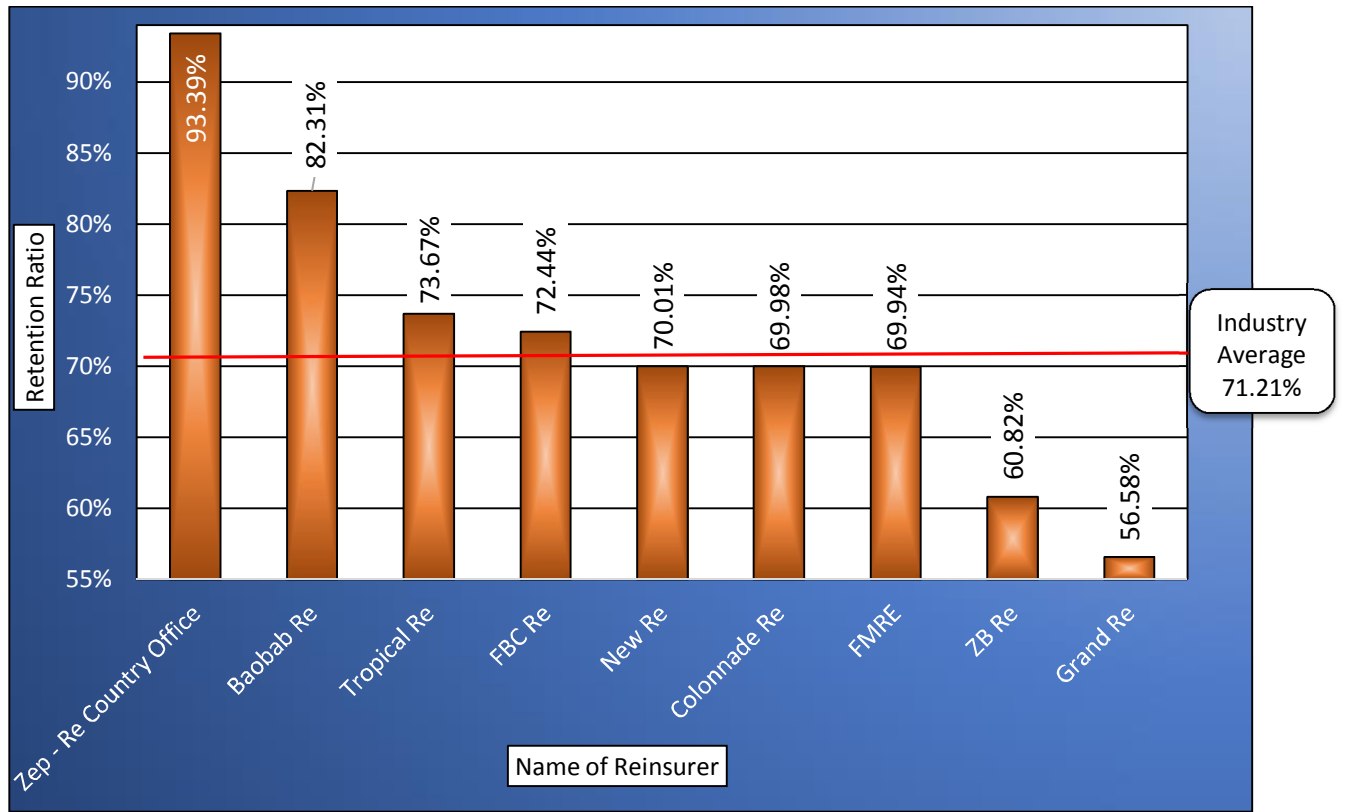
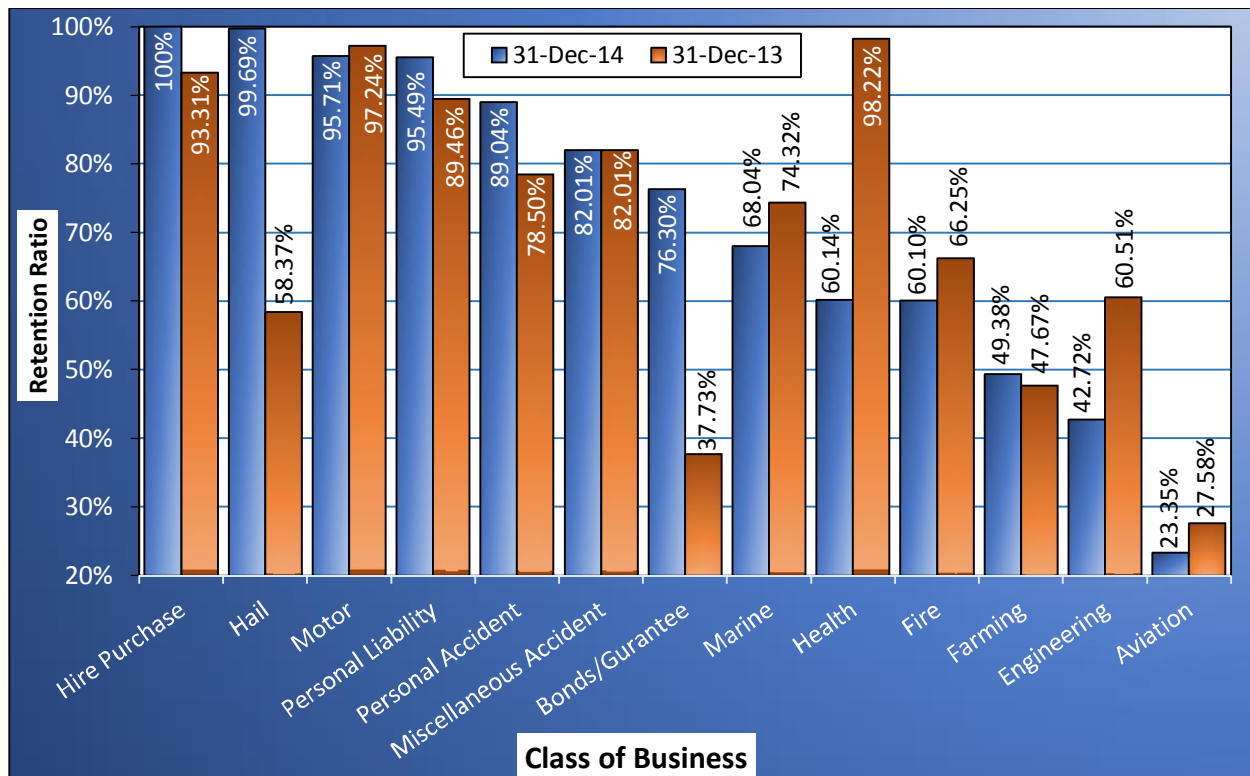


Figure 14: Retention Ratios by Class of Insurance Business



There was a marked improvement in premium remittances to retrocessionaires as evidenced by the decrease in the average reinsurance creditors to retrocession premium from 55.49% for the year ended 31 December 2013 to 30.07% for the year under review. Notwithstanding the improvement, the Commission noted cases where the reinsurers had high amounts owed to retrocessionaires relative to retrocession premiums. The ratio of retrocession creditors to retrocession premium for individual reinsurers ranged from nil to 360.85% (See Appendix 2C). High levels of reinsurance creditors relative to reinsurance premium may compromise retrocession arrangements since retrocessionaires may not honour their obligations pending remittances of all funds due to them.

Retrocessionaires were liable to pay reinsurers' claims worth \$3.67 million which accounted for only 34.74% of total outstanding claims as at 31 December 2014 compared to 66% that was reported as at 31 December 2013. This shows the reduced effectiveness of retrocession arrangements, especially given that the retention ratio only changed marginally from 72.85% for the year ended 31 December 2013 to 71.21% for the year under review.

3.5. Actuarial Matters

Non-life reinsurers' total technical liabilities increased by 2.85% from \$28.43 million as at 30 September 2014 to \$29.24 million as at 31 December 2014. The total technical liabilities were mainly made up of unearned premium reserves (UPR) and Incurred But Not Reported (IBNR) claims which amounted to \$14.71 million and \$7.64 million respectively as at 31 December 2014.

The industry average total technical liabilities to investment assets improved from 65.99% as at 30 September 2014 to 36.95% as at 31 December 2014. This implies that the non-life reinsurance industry as a whole had adequate investments to back all its technical liabilities (reserves).

However, this position is subject to the quality of the investment assets given that some of the investment such as unquoted equities and properties do not match the technical liabilities due to their long term nature as already alluded to under Asset Quality above. The total technical liabilities to investments ratio for individual reinsurers as at 31 December 2014 ranged from 16.27% to 217.63% (see Appendix 2C for more information).

3.6. Earnings

Total profit after tax decreased from \$6.56 million for the year ended 31 December 2013 to \$0.40 million for the year ended 31 December 2014. The decrease in profit was mainly attributable to an upsurge in net incurred claims, increased uptake of retrocession as well as marking to market losses of investments. Net incurred claims and retrocession premiums increased by \$3.99 million and \$2.12 million respectively. On the other hand, reinsurers reported marking to market losses amounting to \$2.53 million during the year under review.

The decrease in the volume of profit resulted in the return on equity (ROE) and return on assets (ROA) deteriorating from 9.82% and 5.34% for the year ended 31 December 2013 to 0.6% and 0.34% respectively, for the year under review. A total of three (3) reinsurers reported losses for the year under review (See Appendix 2A and 2C).

The profitability of the reinsurers' core business of underwriting deteriorated as evidenced by the decrease in underwriting profits from \$3.62 million for the year ended 31 December 2013 to \$1.22 million for the year under review. The deteriorating underwriting profits resulted in the combined ratio deteriorating from 94.91% to 98.32%. The increase in the combined ratio was mainly attributable to the rise in the loss ratio from 40.43% for the year ended 31 December 2013 to 45.12% for the year under review.

Engineering insurance was the least profitable class of business recording loss plus net commission ratio of 163.49%. On the other hand aviation was the most profitable line of business with a loss plus net commission ratio of 40.09%. Table 8 below shows the loss and commission ratios recorded under different classes of business during the year under review.

The industry average investment income to net premium written was 1.11% for the year ended 31 December 2014 compared to 5.01% recorded in the year ended 31 December 2013. In light of the low investment income to net premium ratio, the reinsurers' capacity to supplement underwriting income with investment income was considered low. Such a position could be attributable to depressed investment returns currently obtaining in the market.

Table 8: Loss Ratios by Class of Business for Reinsurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Engineering	94.16%	69.33%	163.49%
Hail	71.61%	30.58%	102.19%
Motor	70.01%	22.19%	92.20%
Health	80.19%	9.98%	90.17%
Personal Accident	45.70%	28.58%	74.28%
Fire	36.57%	29.98%	66.55%
Personal Liability	21.20%	39.21%	60.41%
Bonds/Guarantees	36.07%	24.33%	60.40%
Farming	28.95%	30.06%	59.01%
Hail	25.94%	30.58%	56.52%
Miscellaneous Accident	27.46%	26.48%	53.94%
Marine	27.57%	16.54%	44.11%
Hire Purchase	0.00%	43.64%	43.64%
Aviation	10.18%	29.91%	40.09%
Industry Average	45.12%	27.72%	72.84%

3.7. Liquidity

Total liquid assets increased marginally from \$29.30 million as at 30 September 2014 to \$29.47 million as at 31 December 2014. However, the liquid assets remained concentrated in three reinsurers namely FBC Reinsurance Company, ZB Reinsurance Company and FMRE Property and Casualty. See the reinsurers' market share of liquid assets in Appendix 2C.

Though there were no significant changes in total liquid assets, the overall liquidity of the non-life reinsurance industry improved as evidenced by an increase in the acid test ratio from 52.28% as at 30 September 2014 to 61.70% as at 31 December 2014. The improvement in acid test was attributable to a decrease in current liabilities.

The acid test ratio reported implies that as at 31 December 2014, the non-life reinsurance industry had approximately sixty two cents worth of liquid assets to back current liabilities. Individual reinsurers reported acid test ratios ranging from 7.18% to 220.43% as at 31 December 2014 (see Appendix 2C).

3.8. Market Share for Reinsurers

The market for non-life reinsurers recorded Herfindahl Indices of 0.15 and 0.14 in terms of gross premium written and net premium written for the year ended 31 December 2014 respectively. In light of the Herfindahl Indices highlighted above, the market for non-life reinsurers was considered moderately concentrated.

As shown in Figure 15 below, ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company maintained their positions as market leaders in terms of GPW and NPW with combined market shares of 55.51% and 52.44% respectively.

On the other hand, Baobab Reinsurance Company, FBC Reinsurance Company and ZB Reinsurance Company were market leaders in terms of total assets as shown in Figure 16 below.

Figure 15: Market Share for Reinsurers in Terms of GPW and NPW

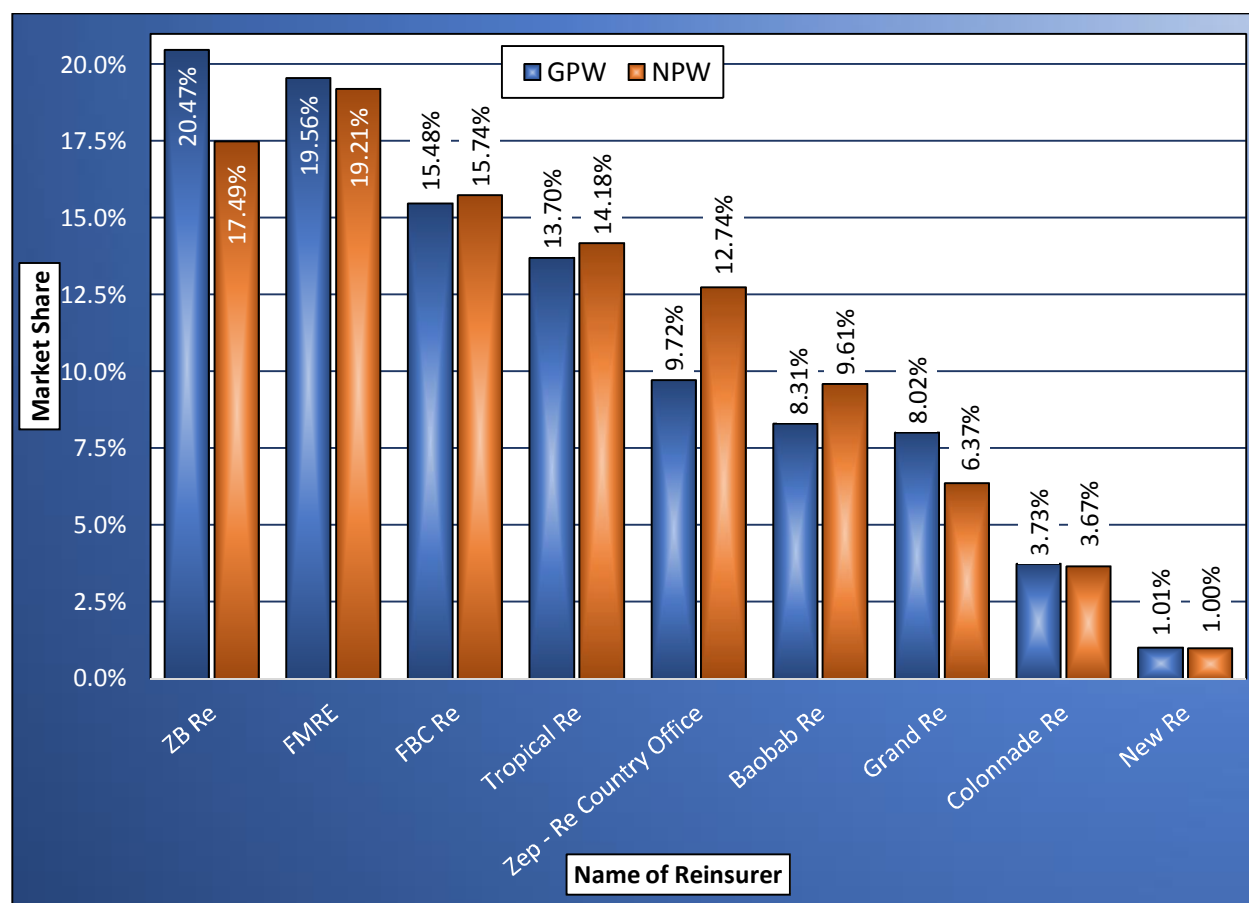
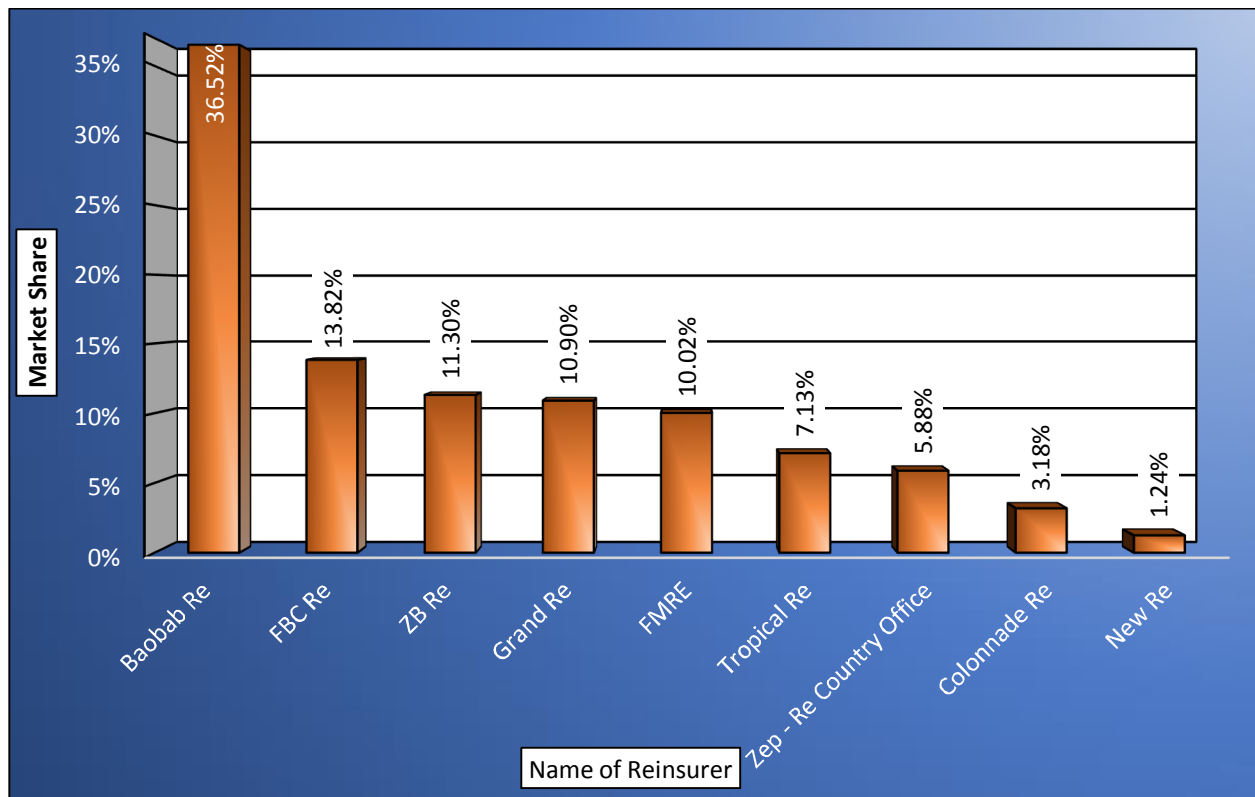


Figure 16: Market Share for Reinsurers in Terms of Total Assets



SECTION C

4. INSURANCE BROKERS



3.1 Business Written

Total premium brokered by insurance brokers amounted to \$90.94 million for the year ended 31 December 2014 reflecting a 3.71% decrease from \$94.44 million reported for the year ended 31 December 2013. The total premium brokered by insurance brokers constituted 42.34% of gross premium written by non-life insurers for the year ended 31 December 2014 compared to 45.01% reported for the year ended 31 December 2013. This indicates the non-life insurance industry's major producers are not insurance brokers since the bulk of business is generated through agents and walk in clients.

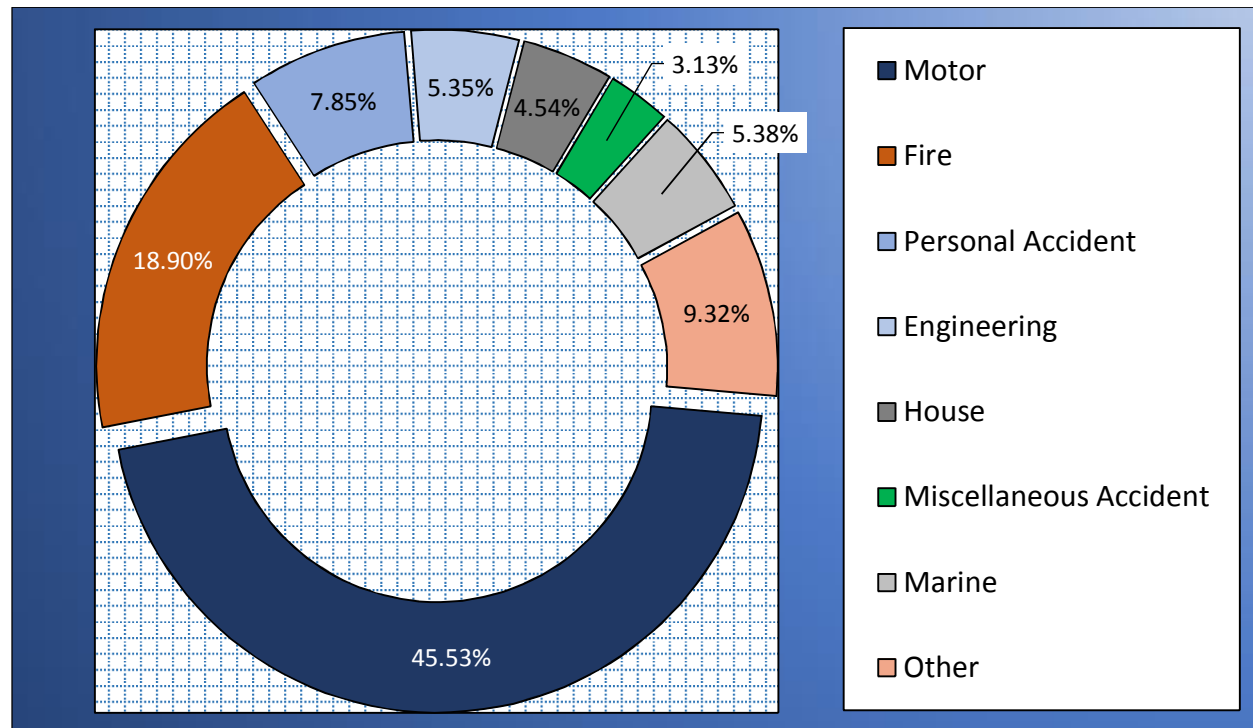
Total brokerage commission amounting to \$16.08 million was generated from the total premium written by insurance brokers. The brokerage commission accounted for 17.68% of total premium written for the year under review. On the other hand net brokerage commission amounted to \$15.12 million for the year ended 31 December 2014 down from \$16.15 million for the year ended 31 December 2013. Table 9 below shows the indicators of the business written by the insurance brokers.

Table 9: Indicators of Business Written for Insurance Brokers

Indicator	31 Dec 2013	31 Dec 2014	Percentage Change
Premium Written	94,439,708	90,938,692	-3.71%
Brokerage Commission	16,689,767	16,079,262	-3.66%
Premium Written Less Commission	77,749,941	74,859,431	-3.72%
Commission Incurred	538,909	956,695	77.52%
Net Brokerage Commission	16,150,858	15,122,566	-6.37%
Other Income	1,418,013	1,526,416	7.64%
Operating Expenses	16,840,513	15,272,305	-9.31%
Profit Before Tax	728,358	1,376,677	89.01%
Taxation	289,273	380,255	31.45%
Profit After Tax	439,085	996,423	126.93%

There were no significant changes in the distribution of business generated by insurance brokers with motor and fire insurance remaining the dominant classes of business accounting for 64.43% of total premium. Figure 17 below shows the distribution of business.

Figure 17: Distribution of Insurance Brokers' Gross Premium Written by Business Class



3.2 Capitalization

As at 31 December 2014, all operating insurance brokers reported capital positions which were above \$100,000 with the exception of Broksure Insurance Brokers and Rainbow Insurance Brokers. The capital positions for the individual insurance brokers ranged from \$13,100 to \$909,286 as at 31 December 2014. Table 10 below shows the capital positions reported by insurance brokers as at 31 December 2014.

Table 10: Reported Capital Levels for Insurance Brokers

Name Insurance Broker	31-Dec-13	30-Jun-14	30-Sep-14	31-Dec-14
1. Alexander Forbes Risk Services	531,600	516,511	442,789	522,148
2. Ambassador Insurance Brokers	126,976	127,008	127,008	128,036
3. Amour Khan Insurance Brokers	138,323	132,465	141,273	142,604
4. Auto & General Insurance Brokers	445,980	434,150	434,791	437,600
5. Broksure Insurance Brokers	103,050	100,719	100,734	98,037
6. Capitol Insurance Brokers	598,614	600,819	604,169	583,788
7. Care Insurance Brokers	121,841	201,081	159,727	169,394
8. Eaton & Youngs (Private) Limited	441,502	446,027	450,030	420,066
9. Eureka Insurance Brokers	330,873	311,133	247,323	287,425
10. Glenrand MIB Zimbabwe	284,631	249,998	200,803	189,347
11. Goldstick Insurance Brokers	103,164	176,790	162,551	151,647
12. Hostcare Insurance Brokers	146,645	146,557	145,800	145,741
13. HRIB (Private) Limited	225,452	389,117	284,235	327,588
14. Hunt Adams & Associates	105,002	103,751	127,720	113,012
15. Insurasure (Private) Limited	85,669	163,646	163,646	165,819
16. L. A. Guard Insurance Brokers	102,290	108,384	102,541	183,482
17. Marsh Insurance Brokers	781,239	1,080,415	1,192,965	909,286
18. Minerva Risk Solutions	808,157	516,027	(915,996)	530,258
19. Momentum Insurance Brokers	506,492	515,260	515,260	351,267
20. Paul Mkondo Insurance Brokers	161,465	126,484	190,720	190,165
21. Perpro Insurance Brokers	162,003	183,461	171,970	170,648
22. Progressive Insurance Brokers	726,971	724,314	740,717	722,682
23. Rainbow Insurance Brokers	7,004	11,346	12,317	13,100
24. SATIB Insurance Brokers	50,111	187,426	157,756	176,637
25. TIB Insurance Brokers	102,662	107,021	100,147	101,770
26. Victory Insurance Brokers	408,610	390,054	419,033	406,900
27. Zimbabwe Insurance Brokers	264,250	217,115	199,712	227,655

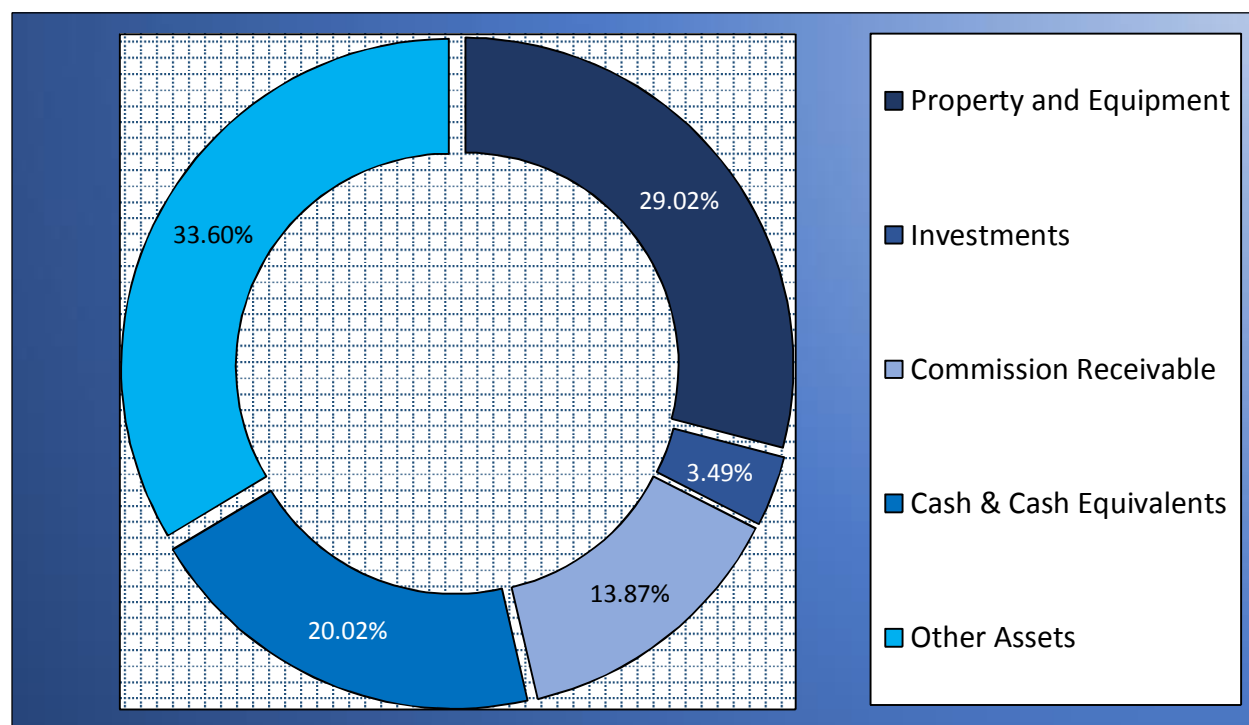
Key:

	The insurance broker reported a capital position that was above \$100,000.
	The insurance broker reported a capital position that was below \$100,000.

3.3 Asset Quality

Insurance brokers' total assets decreased marginally from \$21.79 million as at 30 September 2014 to \$21.60 million as at 31 December 2014. The asset base for insurance brokers remained skewed towards property and equipment as well as commission receivable which accounted for a total of 49.04% of total assets. Figure 18 below shows the breakdown of assets as at 31 December 2014.

Figure 18: Distribution of Insurance Brokers' Total Assets



3.4 Earnings

Even though the volume of business handled by insurance brokers declined, as highlighted in section 3.1 above, total profit after tax increased by 126.93% from \$439,085 for the year ended 31 December 2013 to \$996,423 for the year ended 31 December 2014. The increase in total profit after tax was mainly attributable to a reduction in operating expenses from \$16.84 million for the year ended 31 December 2013 to \$15.27 million for the year under review. The industry average return on equity (ROE) and return on assets (ROA) improved from 5.50% and 1.93% to 12.67% and 4.61% respectively. A total of seven (7) insurance brokers out of the twenty seven (27) operational institutions reported losses for the year ended 31 December 2014.

3.5 Market Share for Insurance Brokers

The market for insurance brokers was considered unconcentrated with Herfindahl Indices of 0.09 in terms of net brokerage income for the year ended 31 December 2014. The market leaders in terms of net brokerage commission remained Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and Alexander Forbes Risk Services Zimbabwe as shown in Figure 19 below.

In terms of total assets Minerva Risk Solutions, Progressive Insurance Brokers and Eureka Insurance Brokers were the market leaders as shown in Figure 20 below.

Figure 19: Market Share in Terms of Net Brokerage Income and Premium Written

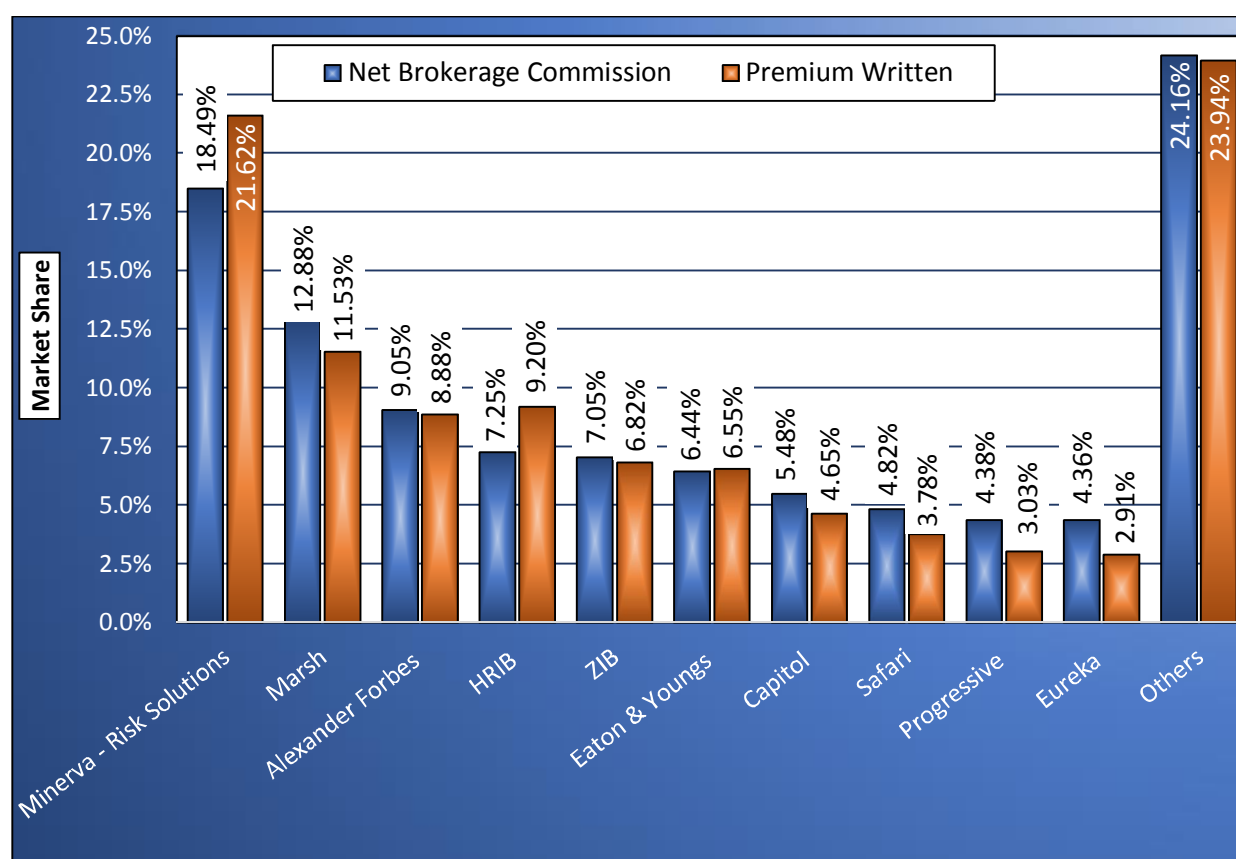
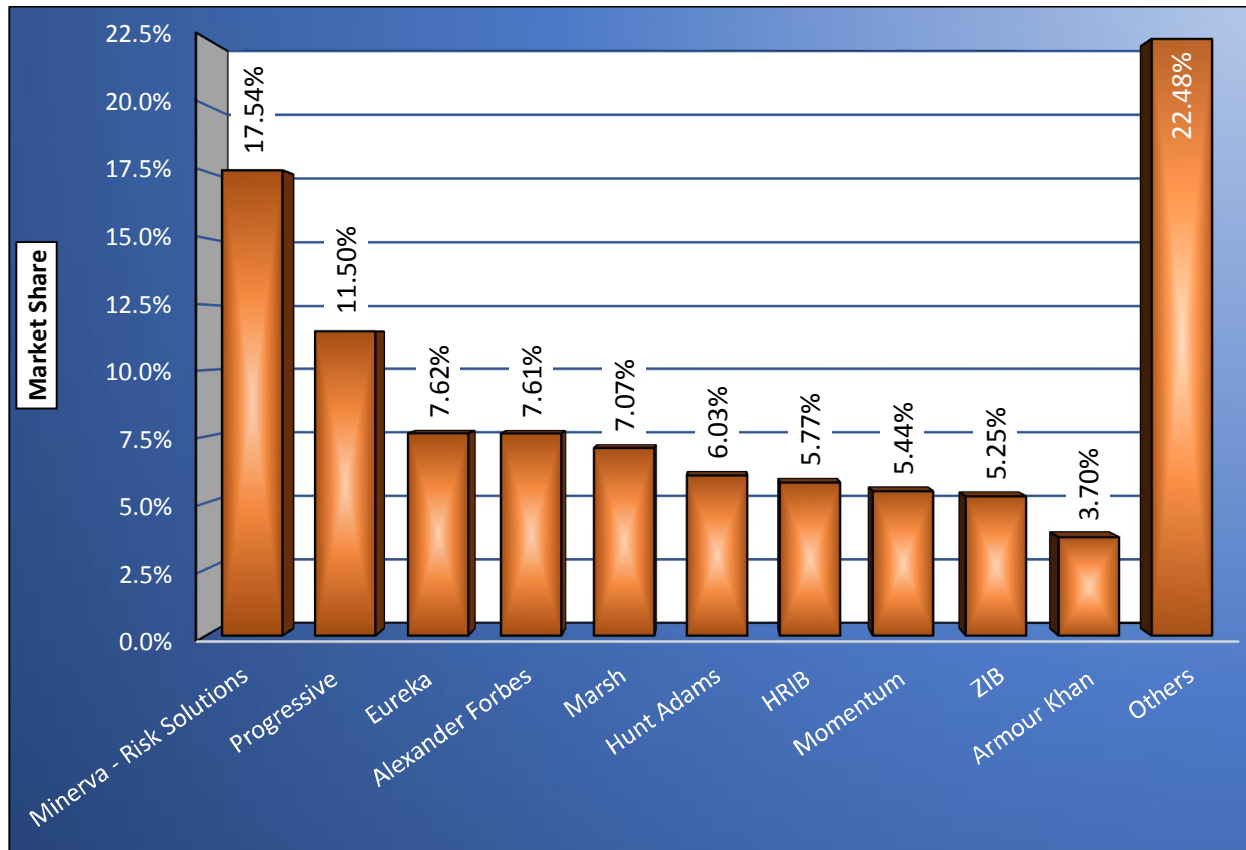


Figure 20: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D

5. REINSURANCE BROKERS



4.1 Business Written

Reinsurance brokers handled business with total premium amounting to \$63.61 million for the year ended 31 December 2014, indicating a 20.65% increase from \$52.72 million reported for the year ended 31 December 2013. The business generated by reinsurance brokers constituted 62.85% of Gross Premium Written by reinsurers. This shows that, unlike direct non-life insurers, reinsurers generate the bulk of their business through brokers.

The brokerage commission generated by reinsurance brokers amounted to \$13.82 million for the year under review compared to \$12.47 million reported for the year ended 31 December 2013. The industry average commission ratio deteriorated from 23.65% for the year ended 31 December 2013 to 21.73% for the year ended 31 December 2014. Table 11 below shows the indicators of the business written by the reinsurance brokers.

Table 11: Indicators of Business Written for Reinsurance Brokers

Indicator	31 Dec 2013	31 Dec 2014	Percentage Change
Premium Written	52,721,461	63,607,452	20.65%
Brokerage Commission	12,466,655	13,822,077	10.87%
Premium Written Less Commission	40,254,806	49,785,375	23.68%
Commission Paid	9,917,936	11,121,106	12.13%
Net Brokerage Commission	2,548,719	2,700,971	5.97%
Other Income	102,035	46,781	-54.15%
Operating Expenses	1,746,035	1,965,474	12.57%
Profit Before Tax	904,719	782,278	-13.53%
Taxation	235,072	227,879	-3.06%
Profit After Tax	669,647	554,399	-17.21%

4.2 Capitalization

As shown in Table 12 below, of all the registered reinsurance brokers, Afro-Asian Reinsurance Brokers and Reinsurance Brokers International (RBI) reported capital positions which were below \$100,000 as at 31 December.

Table 12: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position (\$)			
	31 Dec 2013	30 Jun 2014	30 Sep 2014	31 Dec 2014
1. Afro-Asian Reinsurance Brokers	9,939	(2034)	70,861	34,580
2. Minerva Re (Private) Limited	1,949,169	2,504,758	1,088,668	1,148,561
3. Pan African Re	363,915	416,353	444,826	450,661
4. Reinsurance Brokers International	152,328	119,570	118,686	88,327

4.3 Asset Quality

Total assets for reinsurance brokers amounted to \$11.21 million as at 31 December 2014, reflecting a 3.03% increase from \$10.88 million reported as at 30 September 2014. The asset base for reinsurance brokers remained skewed towards premium debtors which amounted to \$6.90 million as at 31 December 2014.

4.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers decreased from \$669,647 for the year ended 31 December 2013 to \$554,399 for the year under review. The industry average return on equity (ROE) and return on assets (ROA) were 32.19% and 4.95% respectively for the year under review.

4.5 Market Share for Reinsurance Brokers

The market for reinsurance broking remained largely dominated by Minerva Reinsurance Brokers in respect of premium written, net brokerage commission as well as total assets. Table 13 below shows the market shares for all the reinsurance brokers.

Table 13: Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written	Net Brokerage Commission	Total Assets
1. Minerva Re (Private) Limited	73.61%	76.49%	74.51%
2. Pan African Reinsurance Brokers	19.32%	17.69%	13.45%
3. Reinsurance Brokers International	6.77%	5.47%	11.46%
4. Afro-Asian Reinsurance Brokers	0.31%	0.35%	0.58%
Total	100%	100%	100%

SECTION E

6. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers \$('000)

	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
Gross Premium Written	30,497	950	974	9,089	18,706	3,526	10,785	4,189	4,307	17,370	3,658	976	1,301	2,183	7,645	841	27,164	30,922	1,265	1,566	191	1,272	7,298	6,283	21,958	214,915
Reinsurance Premium	18,208	267	816	4,437	13,737	-	4,071	123	2,316	8,596	1,716	107	416	872	1,849	24	10,796	8,315	305	26	3	325	4,034	2,712	11,332	95,402
Net Premium Written	12,289	682	158	4,652	4,969	3,526	6,714	4,067	1,991	8,774	1,942	869	886	1,311	5,797	817	16,368	22,607	960	1,540	188	947	3,265	3,570	10,625	119,513
Increase/(Decrease) in UPR	956	(253)	(564)	706	21	(201)	(21)	323	103	135	37	19	(422)	(21)	180	18	(72)	687	(583)	(58)	(14)	11	1,112	(113)	250	2,239
Net Earned Premium	11,333	935	722	3,946	4,949	3,728	6,735	3,744	1,888	8,639	1,905	850	1,308	1,331	5,617	798	16,440	21,920	1,543	1,597	202	936	2,152	3,683	10,375	117,274
Net Incurred Claims	6,162	151	665	1,758	2,529	596	1,467	1,385	670	3,403	930	263	578	192	1,695	125	7,603	10,354	387	201	29	355	1,121	1,579	3,579	47,778
Net Commission Incurred	327	116	(87)	39	(41)	-	635	484	(245)	724	301	147	276	146	683	36	1,427	2,128	211	185	32	5	(559)	115	1,036	8,123
Technical Result	4,844	668	144	2,149	2,461	3,131	4,633	1,874	1,464	4,512	674	441	453	994	3,238	637	7,410	9,438	945	1,211	140	575	1,591	1,989	5,760	61,373
Operating Expenses	4,560	756	938	1,660	3,282	3,285	4,253	1,963	1,682	2,873	462	549	563	812	3,048	320	6,152	6,037	702	846	173	928	877	2,511	3,754	52,986
Underwriting Result	283	(88)	(794)	489	(822)	(154)	379	(89)	(219)	1,638	211	(108)	(110)	182	190	317	1,258	3,401	243	365	(33)	(353)	713	(522)	2,006	8,387
Investment Income	718	9	-	214	12	218	552	(43)	54	306	(40)	1	15	6	0	177	537	1,318	40	1	-	84	206	69	59	4,512
Unrealised Gains/(Losses)	-	(42)	(1)	(40)	(17)	(50)	-	336	(32)	(27)	-	-	3	(16)	(14)	-	-	(292)	(287)	-	-	-	-	148	-	(331)
Other Income/(Expenses)	(97)	327	215	-	857	(118)	-	-	-	48	6	379	-	-	27	-	(417)	(133)	-	3	1	318	551	282	(63)	2,185
Profit/(Loss) Before Tax	904	206	(580)	663	31	(104)	931	204	(196)	1,966	177	272	(92)	172	203	494	1,378	4,295	(4)	369	(32)	49	1,471	(23)	2,001	14,753
Taxation	233	53	(372)	149	8	-	180	52	(51)	541	41	14	-	28	9	889	(50)	1,716	4	92	-	-	404	36	526	4,502
Profit/(Loss) After Tax	671	153	(208)	515	23	(104)	751	152	(146)	1,425	136	258	(92)	145	194	(395)	1,428	2,579	(8)	277	(32)	49	1,066	(59)	1,475	10,251
Dividends	47	-	-	-	-	-	-	-	-	376	-	-	-	-	-	-	375	-	-	-	-	-	-	-	513	1,311
Retained Income	624	153	(208)	515	23	(104)	751	152	(146)	1,049	136	258	(92)	145	194	(395)	1,053	2,579	(8)	277	(32)	49	1,066	(59)	963	8,940

Appendix 1B: Statements of Financial Position for Non-life Insurers US\$'000																										
	Alliance	Allied	Altfin	C.B.Z	Cell Insurance Company Promoter	Cell Business	Champions	Clarion	Credsura	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
ASSETS																										
Non-Current Assets																										
Fixed Assets	3,448	1,700	323	346	545	-	1,847	1,182	2,278	3,146	63	580	745	418	2,344	77	708	1,091	414	2,313	1,623	1,070	1,124	192	707	28,283
Long Term Investments	1,129	86	1,100	248	1,191	222	-	1	102	141	1,617	7	22	72	1,073	-	7,061	2,057	1,317	3	-	-	538	1,922	2,663	22,573
Other Non-Current Assets	-	-	-	67	-	-	-	112	87	-	85	-	1	1,516	1,371	373	281	-	8	65	-	6	1,861	-	455	6,289
	4,577	1,786	1,423	660	1,736	222	1,847	1,295	2,467	3,287	1,765	586	768	2,006	4,788	450	8,050	3,148	1,739	2,381	1,623	1,076	3,524	2,114	3,825	57,145
Technical Assets																										
Reinsurers' Share of O/S Claims	1,727	45	2,060	351	-	-	653	55	682	425	28	13	125	306	-	-	947	586	30	1	1	-	513	189	2,279	11,016
Deferred Acquisition Cost	742	42	-	60	88	-	78	45	57	98	37	20	26	21	319	26	829	798	118	11	1	17	296	23	557	4,307
	2,469	86	2,060	410	88	-	731	101	739	523	65	34	151	327	319	26	1,776	1,383	148	11	3	17	808	212	2,836	15,323
Current Assets																										
Cash & cash equivalents	369	41	1	240	139	1,172	512	77	72	303	482	54	26	54	224	32	4,872	1,515	103	425	72	69	307	48	471	11,683
Money Market Investments	5,054	229	-	2,698	145	1,923	32	526	252	3,716	-	-	15	63	2,028	-	300	12,846	-	-	-	784	1,486	427	2,071	34,595
Current Prescribed Assets	457	-	-	-	-	-	17	-	30	-	75	-	12	20	-	-	390	975	38	-	-	-	130	146	49	2,339
Premium Receivables	8,736	400	366	1,473	1,730	-	1,937	1,110	914	3,269	127	375	268	600	1,473	262	4,104	1,108	107	1	30	229	4,563	1,842	4,182	39,205
Other Current Assets	2,343	119	2,342	28	1,960	-	1,985	764	586	601	196	191	171	173	29	448	2,141	1,866	11	735	4	41	182	848	840	18,606
	16,961	788	2,709	4,439	3,974	3,095	4,482	2,477	1,854	7,890	881	619	492	910	3,756	742	11,807	18,311	259	1,161	106	1,123	6,668	3,311	7,614	106,428
TOTAL ASSETS	24,006	2,661	6,192	5,510	5,798	3,316	7,061	3,873	5,060	11,700	2,710	1,239	1,411	3,243	8,863	1,218	21,633	22,842	2,146	3,554	1,732	2,216	11,000	5,637	14,275	178,896
LIABILITIES																										
Deferred Tax Liabilities	(103)	72	244	(197)	(249)	-	24	33	97	335	(1)	13	16	19	232	-	81	-	(132)	28	-	39	488	13	783	1,837
Long Term loan	-	-	-	-	-	-	-	128	-	-	-	-	-	-	96	250	95	-	-	-	-	-	-	26	571	1,165
Current Tax provisions	233	60	-	165	267	-	21	38	24	193	98	120	-	-	-	61	398	301	33	227	-	-	365	29	(4)	2,630
Gross Outstanding Claims	2,912	110	3,221	803	579	124	1,296	1,028	1,056	1,010	93	98	293	464	1,086	44	2,734	2,014	70	27	15	34	1,551	364	2,958	23,985
IBNR	5,398	22	286	233	364	-	278	40	192	437	97	10	4	49	460	69	820	1,582	21	110	13	68	151	179	651	11,535
UPR	3,709	225	-	1,834	1,040	656	388	1,120	448	1,210	547	102	63	209	1,595	69	4,139	3,989	602	182	13	170	1,173	1,195	2,733	27,410
Reinsurance & Other Creditors	6,580	287	244	182	1,464	-	2,906	60	535	3,278	265	39	118	182	2,195	14	931	-	17	26	-	358	2,266	1,229	1,088	24,267
Other Liabilities	644	160	1,291	362	-	-	-	153	110	421	84	195	113	166	-	288	1,612	523	35	95	23	11	174	1,040	683	8,184
TOTAL LIABILITIES	19,373	937	5,286	3,382	3,464	780	4,914	2,600	2,463	6,884	1,184	576	608	1,090	5,665	795	10,810	8,409	646	696	65	680	6,168	4,074	9,465	101,013
SHAREHOLDERS' EQUITY																										
Share Capital	301	30	300	51	620	-	382	1,300	2	1	120	360	40	500	2,500	400	2,834	300	130	1,860	1,699	100	1,000	1	553	15,384
Share Premium	-	1,090	625	590	-	-	-	-	1,824	2,800	-	-	796	2,860	-	344	3,291	-	90	-	-	2,152	-	4,032	-	20,494
Revaluation & Other Reserves	1,141	-	423	-	-	-	3	57	353	347	7	287	-	9	218	108	69	2,214	81	243	-	80	587	498	1,261	7,986
Retained Profit	3,192	603	(442)	1,487	1,714	2,536	1,763	(84)	418	1,668	1,399	17	(34)	(1,216)	481	(429)	4,629	11,919	1,199	755	(32)	(796)	3,246	(2,968)	2,997	34,019
Shareholders's Equity	4,634	1,724	906	2,127	2,334	2,536	2,147	1,273	2,597	4,816	1,526	663	803	2,153	3,198	423	10,823	14,433	1,500	2,858	1,667	1,536	4,832	1,563	4,811	77,883
TOTAL EQUITY & LIABILITIES	24,006	2,661	6,192	5,510	5,798	3,316	7,061	3,873	5,060	11,700	2,710	1,239	1,411	3,243	8,863	1,218	21,633	22,842	2,146	3,554	1,732	2,216	11,000	5,637	14,275	178,896

Appendix 2A: Statement of Comprehensive Income-Reinsurers U\$ '000										
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re Country Office	Total
Gross Written Premiums	8,410	3,777	15,662	19,790	8,114	1,027	13,869	20,721	9,833	101,204
Reinsurance Premiums	1,488	1,134	4,316	5,949	3,523	308	3,651	8,118	650	29,136
Net Written Premiums	6,923	2,643	11,346	13,842	4,591	719	10,218	12,603	9,183	72,067
Unearned Premium	(1,158)	(270)	(348)	306	141	(115)	(55)	(109)	1,157	(451)
Net Earned Premiums	8,081	2,913	11,694	13,536	4,449	834	10,273	12,712	8,026	72,518
Net Incurred Claims	3,912	754	4,226	5,879	1,658	256	5,127	5,522	5,385	32,719
Net Commission Incurred	2,559	524	3,474	3,661	1,077	198	2,694	3,699	2,220	20,105
Technical Result	1,610	1,636	3,994	3,996	1,715	380	2,452	3,490	422	19,695
Operating Expenses	5,998	1,337	2,044	3,046	1,472	390	1,436	2,174	578	18,475
Underwriting Result	(4,388)	299	1,950	950	243	(10)	1,016	1,316	(156)	1,220
Investment										
Investment Income	17	46	1,108	237	(27)	-	323	804	137	2,645
Unrealised Gains/Losses	(925)	-	(509)	(250)	(2)	-	1	(157)	-	(1,842)
Other Income	-	8	50	63	-	-	25	-	-	146
Profit Before Tax	(5,296)	353	2,598	1,000	214	(10)	1,366	1,963	(19)	2,168
Taxation	-	88	669	65	32	5	367	539	-	1,765
Profit After Tax	(5,296)	265	1,929	935	182	(15)	999	1,424	(19)	403

Appendix 2B: Statement of Financial Position-Reinsurers US\$'000										
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re Country Office	Total
ASSETS										
Non-Current Assets										
Fixed Assets	330	31	260	285	134	243	592	523	362	2,760
Investments	31,522	523	2,133	2,014	8,790	216	514	1,058	-	46,771
	31,851	554	2,393	2,299	8,924	459	1,106	1,581	362	49,531
Technical Assets										
Reinsurers' Share of O/S Claims	2,404	158	119	93	338	90	470	-	-	3,671
Deferred Acquisition Cost (DAC)	824	41	860	772	485	-	273	-	842	4,096
	3,227	199	978	865	823	90	743	-	842	7,768
Current Assets										
Cash & cash equivalents	231	75	7,398	4,565	795	82	368	8,329	1,499	23,340
Money Market Investments	664	684	-	-	-	-	2,898	-	-	4,245
Current Prescribed Assets	-	50	1,724	616	76	-	464	500	1,349	4,780
Premium Receivables	2,363	2,056	2,472	3,014	2,036	820	2,159	2,289	2,639	19,847
Inventory and Other Debtors	4,778	143	112	456	50	20	509	172	255	6,495
	8,036	3,008	11,705	8,651	2,957	922	6,397	11,289	5,742	58,707
TOTAL ASSETS	43,115	3,761	15,077	11,815	12,704	1,471	8,247	12,870	6,946	116,005
Liabilities										
Deferred Tax Liabilities	(604)	3	(277)	198	33	-	248	180	-	(218)
Long term loan	-	-	-	-	300	-	-	-	-	300
Current Tax provisions	15	93	268	-	-	23	139	209	-	747
Gross Outstanding Claims	4,869	305	1,024	506	711	325	1,011	154	1,662	10,567
IBNR	612	132	794	1,383	323	40	1,022	1,629	1,706	7,641
UPR	2,196	642	3,020	2,636	881	288	1,365	1,332	2,344	14,705
Retrocession Creditors	5,368	-	822	536	386	390	984	274	-	8,760
Other Creditors	5,817	777	322	47	451	-	188	1,193	-	8,795
Total Liabilities	18,272	1,952	5,974	5,306	3,086	1,066	4,957	4,971	5,712	51,297
SHAREHOLDERS' EQUITY										
Share Capital	500	1,056	600	1	400	-	0	5	-	2,562
Share Premium	25,526	290	2,203	3,934	-	-	410	2,495	-	34,859
Revaluation & Other Reserves	7,137	26	2,870	254	5,260	452	-	11	-	16,009
Retained Profit	(8,265)	436	4,688	2,346	4,136	(47)	3,059	5,880	1,234	13,467
Shareholders's Equity	24,897	1,808	10,361	6,535	9,796	405	3,469	8,390	1,234	66,896
TOTAL EQUITY & LIABILITIES	43,169	3,761	16,335	11,841	12,882	1,471	8,426	13,362	6,946	118,193

Appendix 2C: Key Performance Indicators for Reinsurers										
	Baobab Re	Colonnade	FBC Re	FMRE	Grand Re	New Re	Tropical Re	ZB Re	Zep - Re Country Office	Total/Average
Indicator										
Capital Adequacy										
Shareholders' Equity (Capital Base) \$ 000	24,897	1,808	10,361	6,535	9,796	405	3,469	8,390	1,234	7,433
Capital Maintenance Ratio (CMR)	1438.60%	120.56%	365.29%	188.84%	653.08%	27.00%	135.81%	266.29%	53.74%	371.30%
Equity/Total Assets Ratio	57.67%	48.08%	63.43%	55.19%	76.05%	27.53%	41.17%	62.79%	17.76%	56.60%
Solvency Margin	359.65%	68.42%	91.32%	47.21%	213.39%	56.33%	33.95%	66.57%	13.44%	92.82%
Asset Quality										
Total Assets (\$ 000)	43,169	3,761	16,335	11,841	12,882	1,471	8,426	13,362	6,946	118,193
Investments to Assets	75.09%	35.42%	68.90%	60.77%	75.00%	20.26%	50.35%	73.99%	41.00%	66.95%
Investment in Fixed Assets/Total Assets	0.76%	0.81%	1.59%	2.40%	1.04%	16.52%	7.03%	3.91%	5.22%	2.34%
Prescribed Assets Ratio	0.00%	1.33%	10.55%	5.21%	0.59%	0.00%	5.51%	3.74%	19.42%	4.04%
Premium Debtors/Gross Premium	28.10%	54.43%	15.78%	15.23%	25.09%	79.84%	15.57%	11.05%	26.84%	19.61%
Premium Debtors/Total Assets	5.47%	54.67%	15.13%	25.45%	15.80%	55.74%	25.62%	17.13%	37.99%	16.79%
Retrocession										
Risk Retention Ratio	82.31%	69.98%	72.44%	69.94%	56.58%	70.01%	73.67%	60.82%	93.39%	71.21%
Retrocession Creditors/Retrocession Premium	360.85%	0.00%	19.05%	9.02%	10.95%	126.62%	26.94%	3.37%	0.00%	30.07%
Reinsurers' Share of O/S Claims to O/S Claims	49.37%	51.96%	11.58%	18.39%	47.50%	27.69%	46.50%	0.00%	0.00%	34.74%
Actuarial										
UPR	2,196	642	3,020	2,636	881	288	1,365	1,332	2,344	14,705
IBNR	612	132	794	1,383	323	40	1,022	1,629	1,706	7,641
Net Outstanding Claims	2,465	146	905	413	374	235	541	154	1,662	6,896
Total Reserves/Investment Assets	16.27%	69.14%	41.94%	61.60%	16.33%	188.93%	69.01%	31.51%	200.58%	36.95%
(Outstanding Claims+IBNR)/Investment Assets	16.91%	32.78%	16.15%	26.25%	10.71%	122.48%	47.91%	18.04%	118.27%	23.01%
Total Reserves/Total Assets	12.21%	24.49%	28.90%	37.43%	12.25%	38.27%	34.75%	23.32%	82.24%	24.74%
Earnings										
Profit After Tax	(5,296)	265	1,929	935	182	(15)	999	1,424	(19)	403
Return on Equity	-21.27%	14.65%	18.62%	14.30%	1.85%	-3.70%	28.80%	16.97%	-1.54%	0.60%
Return on Assets	-12.27%	7.05%	11.81%	7.89%	1.41%	-1.02%	11.86%	10.66%	-0.27%	0.34%
Loss Ratio	48.41%	25.87%	36.14%	43.44%	37.26%	30.70%	49.91%	43.44%	67.09%	45.12%
Net Commission Ratio	31.66%	17.98%	29.71%	27.04%	24.20%	23.74%	26.22%	29.10%	27.65%	27.72%
Net Expense Ratio	74.23%	45.88%	17.48%	22.50%	33.09%	46.76%	13.98%	17.10%	7.20%	25.48%
Combined Ratio	154.30%	89.72%	83.33%	92.98%	94.55%	101.20%	90.11%	89.65%	101.94%	98.32%
Investment Income/NPW Ratio	-13.12%	1.74%	5.27%	-0.09%	-0.63%	0.00%	3.17%	5.13%	1.49%	1.11%
Investment Income/Total Financial Assets	-2.80%	3.46%	5.32%	-0.18%	-0.30%	0.00%	7.64%	6.54%	4.80%	1.01%
Liquidity										
Working Capital	(1,192)	2,032	7,031	4,256	1,445	(54)	2,372	7,510	871	24,272
Current ratio	90.43%	272.84%	224.40%	180.92%	161.91%	94.93%	149.75%	298.78%	115.25%	157.51%
Acid Test ratio	7.18%	64.55%	130.89%	86.78%	34.05%	7.69%	68.48%	220.43%	26.24%	65.36%
Market Share of Total Liquid Assets	2.76%	2.50%	28.18%	16.01%	2.69%	0.25%	11.52%	27.28%	8.80%	100%
Market Shares										
Market Share Based on GPW	8.31%	3.73%	15.48%	19.56%	8.02%	1.01%	13.70%	20.47%	9.72%	100%
Market Share Based on NPW	9.61%	3.67%	15.74%	19.21%	6.37%	1.00%	14.18%	17.49%	12.74%	100%
Market Share Based on Total Assets	36.52%	3.18%	13.82%	10.02%	10.90%	1.24%	7.13%	11.30%	5.88%	100%

Appendix 3A: Statement of Comprehensive Income for Brokers U\$'000

	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Premium Written	8,076	92	758	119	371	4,228	1,462	5,952	2,643	2,481	620	64	8,371	5,417	1,752	293	10,488	19,659	2,317	70	303	2,754	83	3,434	1,986	945	6,203	90,939
Premium Payable	6,620	70	657	104	307	3,399	1,218	4,941	1,984	2,019	515	50	6,941	4,490	1,446	144	8,534	16,863	1,914	62	265	2,070	70	2,704	1,565	768	5,137	74,859
Brokerage Commission	1,456	22	101	15	64	828	244	1,012	659	462	104	14	1,429	927	306	149	1,953	2,796	403	8	38	684	12	729	421	176	1,066	16,079
less Commission paid	88	0	0	3	0	0	0	38	0	2	32	0	333	426	0	0	6	0	0	1	7	21		0	0	0	0	957
Net Brokerage Commission	1,368	22	101	11	64	828	244	974	659	461	72	14	1,097	501	306	149	1,948	2,796	403	6	31	663	12	729	421	176	1,066	15,123
Other Income	122	6	0	55	0	1	0	91	106	72	0	10	1	70	39	10	25	2	82	64	193	220	0	18	29	45	265	1,526
Admin Expenses	1,389	26	88	66	66	826	278	1,010	771	568	71	22	921	478	343	77	1,076	3,003	476	72	213	876	14	708	450	178	1,207	15,272
Profit Before Tax	101	2	13	1	(2)	3	(34)	54	(5)	(35)	1	1	178	92	2	82	897	(205)	10	(2)	11	7	(2)	39	1	43	124	1,377
Taxation	32	1	3	0	0	0	0	15	7	0	1	0	46	8	1	8	205	0	3	1	2	0	0	0	0	13	36	380
Profit after Tax	69	1	11	0	(2)	3	(34)	39	(12)	(35)	0	1	132	84	1	74	692	(205)	7	(3)	9	7	(2)	39	1	30	89	996

APPENDIX 3B:STATEMENT OF FINANCIAL POSITION-US\$('000)																												
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraverse	L.A Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Shareholder's Equity																												
Share Capital	977	127	32	310	20	116	77	100	50	50	0	5	1	1	0	100	5	0	91	20	40	120	15	0	50	200	50	2,557
Share Premium	-	-	-	87	68	-	37	-	-	20	-	-	-	275	-	-	-	-	-	126	-	-	-	-	-	132	-	746
Non-Distributable Reserves	-	-	100	38	12	121	60	82	19	58	151	141	10	134	-	9	412	1,492	319	67	20	100	-	100	-	-	189	3,636
Retained Income	(455)	1	11	3	(2)	347	(5)	238	219	62	0	(0)	317	(297)	163	74	492	(962)	(59)	(23)	110	503	(2)	77	52	74	(12)	925
shareholder's Equity	522	128	143	438	98	584	169	420	287	189	152	146	328	113	164	183	909	530	351	190	171	723	13	177	102	407	228	7,864
Current liabilities																												
Payable Premiums	785	70	657	-	84	130	-	25	52	-	-	10	603	962	324	97	456	2,115	686	17	-	987	0	53	199	77	331	8,722
Other	-	-	-	3	-	-	-	-	-	-	35	-	-	-	-	-	-	-	20	25	12	314	-	-	-	-	-	408
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	15	-	-	-	-	-	-	-	-	-	-	-	-	-	-	15
Provisions	-	-	-	-	-	38	-	5	-	13	-	-	23	-	-	-	-	-	-	-	-	-	-	-	-	-	-	78
Sundry creditors	-	-	-	-	-	-	1	-	-	48	-	-	1	-	-	-	-	-	-	-	-	-	-	-	-	-	23	73
Taxation	-	1	-	-	-	-	-	-	13	-	2	-	0	-	-	-	-	-	-	-	-	-	-	-	-	-	-	15
Other	337	18	-	-	-	17	-	-	1,283	295	26	-	1	212	-	-	140	1,144	-	-	-	-	-	171	149	-	531	4,325
Total Current Liabilities	1,122	89	657	3	84	186	1	30	1,348	356	62	10	643	1,174	324	97	597	3,259	706	42	12	1,300	0	225	348	77	886	13,636
TOTAL LIABILITIES & EQUITY	1,645	217	800	440	182	786	170	450	1,646	545	214	156	1,245	1,302	742	281	1,526	3,789	1,174	232	191	2,484	427	458	449	514	1,133	23,199
Non - Current Assets																												
Property and Equipment	-	-	70	60	-	6	-	-	-	-	-	-	-	-	-	-	-	211	-	-	-	-	-	-	1	20	-	368
Land & Buildings	-	65	150	140	-	404	143	189	52	-	188	150	380	-	250	83	150	-	-	99	-	180	400	115	-	15	266	3,417
Furniture and Fittings	15	6	55	40	14	22	4	43	9	6	11	3	10	5	28	9	30	294	18	31	22	12	4	11	8	7	13	732
Motor Vehicles	162	31	40	95	20	33	-	-	46	42	6	-	227	94	34	23	12	187	75	9	47	28	15	-	30	46	21	1,322
Computer Equipment	19	6	45	5	15	1	0	-	6	25	3	-	33	2	9	1	7	72	5	1	5	13	4	11	10	8	18	325
Computer Software	-	-	14	2	0	-	0	-	-	-	-	-	-	-	-	2	0	65	-	-	-	1	-	-	-	6	15	105
Investments	-	-	-	31	27	52	-	18	24	-	-	-	-	-	7	16	-	-	326	42	-	30	-	-	-	139	43	753
Other	170	-	-	-	-	-	-	-	-	-	-	2	55	1	-	-	-	-	-	7	3	1	-	3	-	200	-	443
Total Non- Current Assets	366	108	374	372	77	517	147	250	137	73	207	155	704	103	327	134	200	829	423	188	77	265	423	140	48	440	376	7,464
Current Assets																												
Commission Receivable	-	-	101	3	-	-	8	-	-	-	-	0	507	-	-	4	134	-	-	-	-	1,627	-	-	-	13	600	2,996
Premium Receivables	-	-	-	-	-	-	-	-	-	26	-	-	-	-	-	-	-	1,374	-	-	-	-	-	198	-	-	-	-
Accured Investment Income	-	-	2	42	-	-	-	-	584	152	-	-	-	-	0	-	-	-	-	14	-	-	-	-	-	45	-	839
Other Debtors & Inventory	859	65	323	-	98	61	0	73	588	30	0	1	1	781	326	140	338	742	689	26	2	584	-	80	100	12	55	5,976
Cash & Cash Equivalents	420	44	-	24	7	207	15	127	337	264	7	0	34	418	89	2	854	845	62	4	112	8	2	40	301	3	102	4,324
Total Current Assets	1,279	109	426	68	104	268	23	200	1,509	472	7	1	541	1,199	415	147	1,326	2,961	751	44	114	2,219	2	318	401	73	757	14,135
TOTAL ASSETS	1,645	217	800	440	182	786	170	450	1,646	545	214	156	1,245	1,302	742	281	1,526	3,789	1,174	232	191	2,484	425	458	449	514	1,133	21,599

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers (\$)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Premium Written	194,915	46,821,712	12,286,861	4,303,964	63,607,452
Premium due to Reinsurers	185,589	3,634,614	11,808,946	4,156,226	49,785,375
Brokerage Commission	9,326	13,187,098	477,915	147,738	13,822,077
less Commission Paid	-	11,121,106	-	-	11,121,106
Net Brokerage Commission	9,326	2,065,992	477,915	147,738	2,700,971
Other Income	460	4,041	22,298	19,982	46,781
Administration Expenses	101,099	1,306,217	382,812	175,347	1,965,474
Profit before Tax	(91,312)	763,816	117,401	(7,627)	782,278
Taxation	-	196,683	33,236	(2,040)	227,879
Profit/(Loss) after Tax	(91,312)	567,133	84,165	(5,587)	554,399

Appendix 4B: Statement of Financial Position for Reinsurance Brokers (\$)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Share Capital	10	4	1,000	200,000	201,014
Share Premium	96,608	-	70,000	-	166,608
Non-Distributable Reserves	29,438	-		21,171	50,609
Retained Income	(91,475)	1,148,557	379,661	(132,844)	1,303,898
Shareholder's Equity	34,580	1,148,561	450,661	88,327	1,722,129
Liabilities					
Non-Current Liabilities	-	-	-	-	-
Current Liabilities					
Payable Premiums	22,273	6,940,682	921,831	978,447	8,863,233
Provisions	-	229,713	67,411	-	297,124
Sundry creditors	-	-	41,173	-	41,173
Other	7,026	32,379	26,719	218,038	284,162
Total Current Liabilities	29,298	7,202,774	1,057,134	1,196,485	9,485,692
TOTAL LIABILITIES & EQUITY	64,528	8,351,335	1,507,795	1,284,812	11,208,470
Land & Buildings	-	-	185,000	-	185,000
Furniture and Fittings	6,269	9,464	14,217	-	29,950
Motor Vehicles	10,400	-	60,217	-	70,617
Computer Equipment	1,411	2,138	10,049	1,747	15,345
Investments	-	-	-	20,000	20,000
Other	8,396	-	-	26,572	34,968
Total Non- Current Assets	26,476	11,602	269,483	48,319	355,880
Premium Receivable	-	6,376,393	523,715	-	6,900,108
Other Debtors & Inventory	550	631,162	225,836	720,382	1,577,929
Cash & Cash Equivalents	37,503	1,332,177	488,760	516,111	2,374,551
Total Current Assets	38,052	8,339,732	1,238,311	1,236,493	10,852,588
TOTAL ASSETS	64,528	8,351,334	1,507,794	1,284,812	11,208,468

Appendix 5: List of Registered Loss Assessors/Adjustors/Investigators as at 31 December 2014

Name	Address
1. Alpha & Omega Risk Management	26 Worcester Road, Eastlea, Harare
2. Autoplan Risk Management Consultancy	4338 Auckland Road, Southerton, Harare
3. Brilliant Assessors	35 Bold & Beautiful, 111A Fife Street, Bulawayo
4. Fornicle Risk Management Consultancy	11 Dendera Way, Zengeza 5, Chitungwiza
5. Golden Gate Risk and Loss Assessors	P.O. Box CY 620 Causeway Harare
6. Guarantee Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
7. Marin Assessors (Pvt) Ltd	16 Boscobel Drive West, Highlands, Harare
8. Millenium Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
9. Vision Insurance Assessors	69 Samora Machel Avenue, Bard House, Harare
10. Mornglows Assessors	3rd Floor, Pioneer House 8th Av/Fife St Bulawayo
11. New Generation Loss Adjusters	22 Brentwood Road, Riverside, Bulawayo
12. LM Consultancy (Pvt) Ltd	8-15th Avenue, Mabelreign, Harare
13. On Time Assessors (Pvt) Ltd	1409 Knowe, Norton
14. Persam Loss Assessors	40 Kwame Nkrumah, P.O. Box GT895, Harare
15. Ponnez Risk Management	7 Alfred Road, Greendale, Harare
16. Campbell & Prevost	113 Bishop Gaul Avenue, Kensington, Harare
17. Wave Risk Management Consultancy	33 Avonlea Drive, Greencroft, Avonlea, Harare
18. Tritate Risk Management Consultant	4414-62nd Crescent, Glenview 3, Harare
19. Preferred Loss Assessors	27 George Silundika P.O. Box 6861, Harare